Macroeconomic Stress Report: Market Cycles, AI Labor Displacement, and Fiscal Risk

Section 1 – Historical Market Cycles and Current Valuation Risks Equity markets historically move in long cycles of expansion and retracement. Periods such as 1929, 2000, and 2008 demonstrate that extended bull markets tend to culminate in corrections once valuations significantly exceed earnings growth. Typical historical retracements: • Normal correction: 10–20% • Bear market: 25–35% • Systemic crisis: 40–55% Large equity drawdowns historically correlate with rising unemployment. In 2008 unemployment doubled from ~5% to ~10%. Even smaller recessions typically increase unemployment by 1–3 percentage points.

Section 2 – AI Labor Displacement Unlike previous automation waves that affected manufacturing, AI is impacting cognitive and administrative work. Vulnerable sectors include: • clerical and administrative roles • customer service • logistics coordination • retail operations • entry■level software and analytics Large■scale displacement reduces payroll tax revenue while increasing welfare program usage, placing pressure on federal and state budgets.

Section 3 – Combined Economic Scenario If a market correction occurs simultaneously with AI■driven labor displacement, the effects amplify each other. Short term: • layoffs accelerate • automation adoption increases • tax revenues decline Long term: • productivity gains may stabilize growth • inequality could widen without policy adaptation

Figure 1

Five-Year Fiscal Exposure Summary (Moderate AI Displacement Scenario)

Calibrated to $343B Annual Payroll Shock from OEWS May 2024 Top 50 | All figures in $ Billions

Component	Annual Impact ($B)	5-Year Cumulative ($B)	With Wage Compression Effects
Payroll Tax Erosion (OASDI/Medicare)	20–35	—	100–175
Automatic Stabilizer Expansion	50–90	—	250–450
Net Fiscal Pressure (Midpoint)	70	—	350
With Wage Compression Effects	—	—	400–500
Debt Compounding (Interest)	Rising		+50–100

Data: BLS OEWS May 2024 + BEA GDP Anchor | Moderate 3.8M displaced scenario
GameStop red/black/white styling for activist-investor clarity | Not financial advice

Five-Year Fiscal Exposure Summary (Moderate AI Displacement Scenario) Calibrated to $3438 Annual Payroll Shock from OEWS May 2024 Top 50 | All figures in $ Billions Annual 5-Year With Wage

Component Impact Cumulative Compression 8) 8) Effects Payro

Figure 2

GameStop

Reemployment Operating System (ROS) Offsets & Net Cost

Target: 1.5M Workers Reemployed | Cost per Worker-Year: $60,000 | 5-Year Horizon

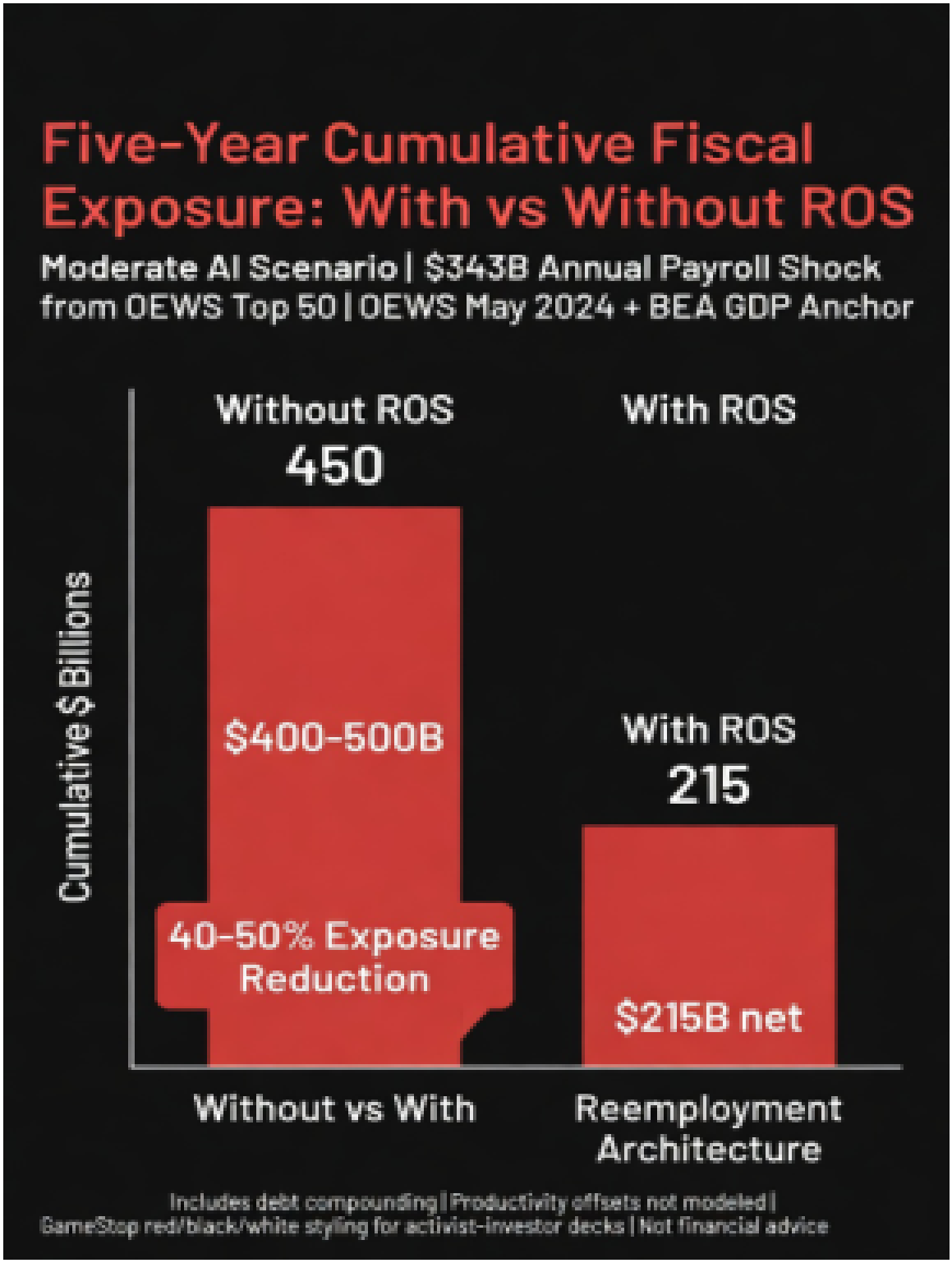
Category	Annual Gross/Offset ($B)	5-Year Total ($B)
Gross ROS Cost	90	450
Reduced Stabilizers	-30	-150
Restored Payroll Taxes	-10	-50
Secondary Tax Recapture	-5 to -8	-25 to -40
Net Annual Cost	43	215
Exposure Reduction	—	40-50%

Mid-case reemployment architecture | Offsets calibrated to $343B payroll shock scenario | GameStop red/black/white styling | Not financial advice

GameSion Reemployment Operating System (ROS) Offsets & Net Cost Target: 1.5M Workers Reemployed | Cost per Worker-Year: $60,000 | 5-Year Horizon Annual | 5-Year Total Category

_Gross/Offset ($8) ($8) Gross ROS Cost 90 450 ReducedStabiizers -30 1

Figure 3



Moderate AI Scenario| $3438 Annual Payroll Shock from OEWS Top 60 OEWS May 2024 + BEA GDP Anchor Without ROS With Ros 450 Fa a , 2 | |\e4o0-s008 With ROS 3 215 5 ‘40-50% Exposure

Reduction ‘$218B net Without vs With Reemployment. Architecture

Figure 4

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Component Impact Cumulative Compression ($8) (8) Effects Pay

Figure 5

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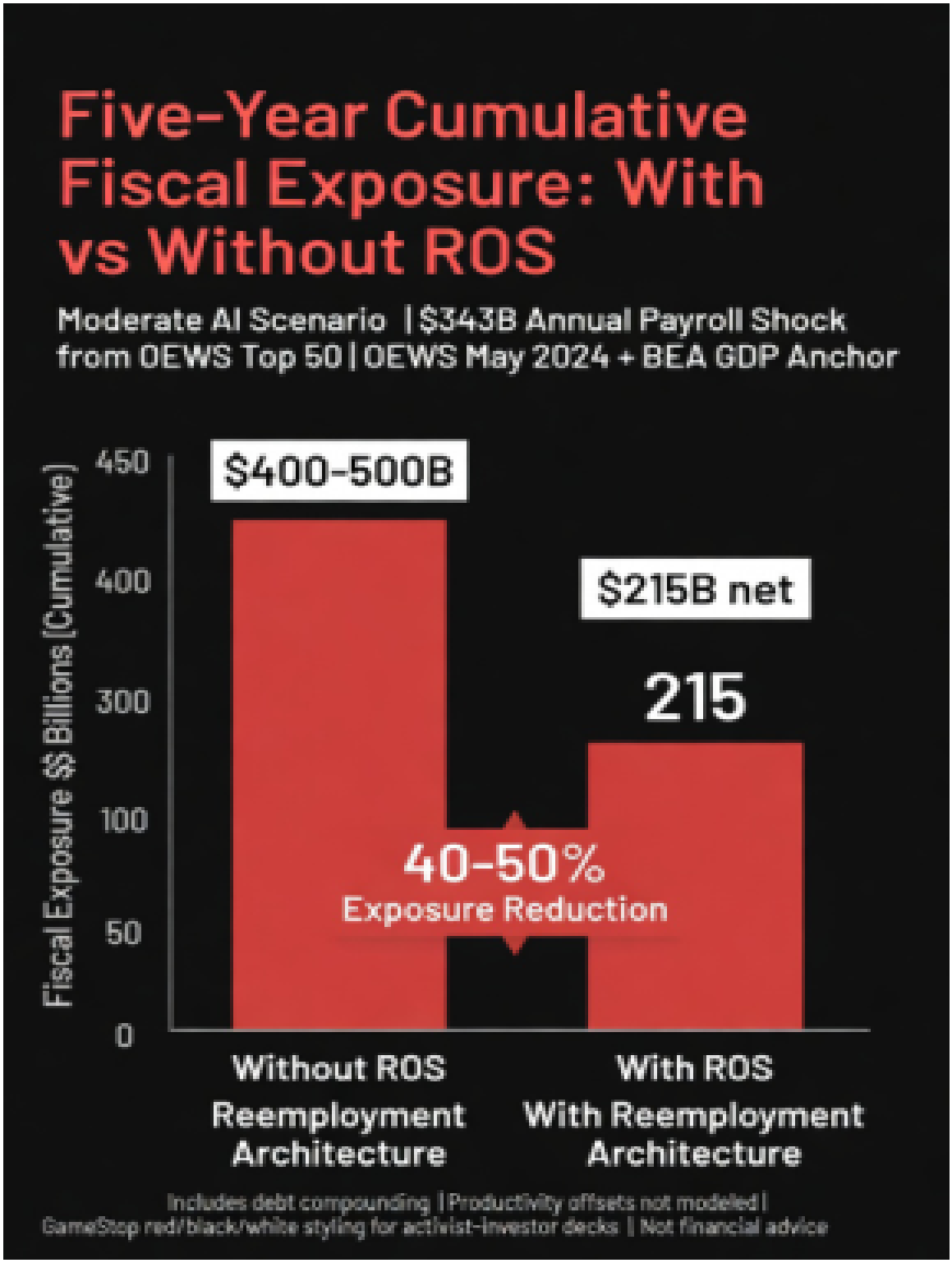
Reemployment Operating System (ROS) Offsets & Net Cost “Target: 15M Workers Reemployed | Cost per Worker-Year: $60,000 |5-Year Horizon, ‘Annual Gross/Offset §-Year Total eons ($8) ($8) Gross

ROS Cost, 90 450 RedwcedStabitzers —-90 150 RestoredPayr

Figure 6



Five-Year Cumulative Fiscal Exposure: With vs Without ROS Moderate AI Scenario |$3438 Annual Payroll hock ‘rom OEWS Top 60 | OEWS May 2024 + BEA GDP Anchor CSN $400-500B 300 215

Fiscal Exposure $ Billions [Cumulative] Without ROS with ROS Reemp

Figure 7

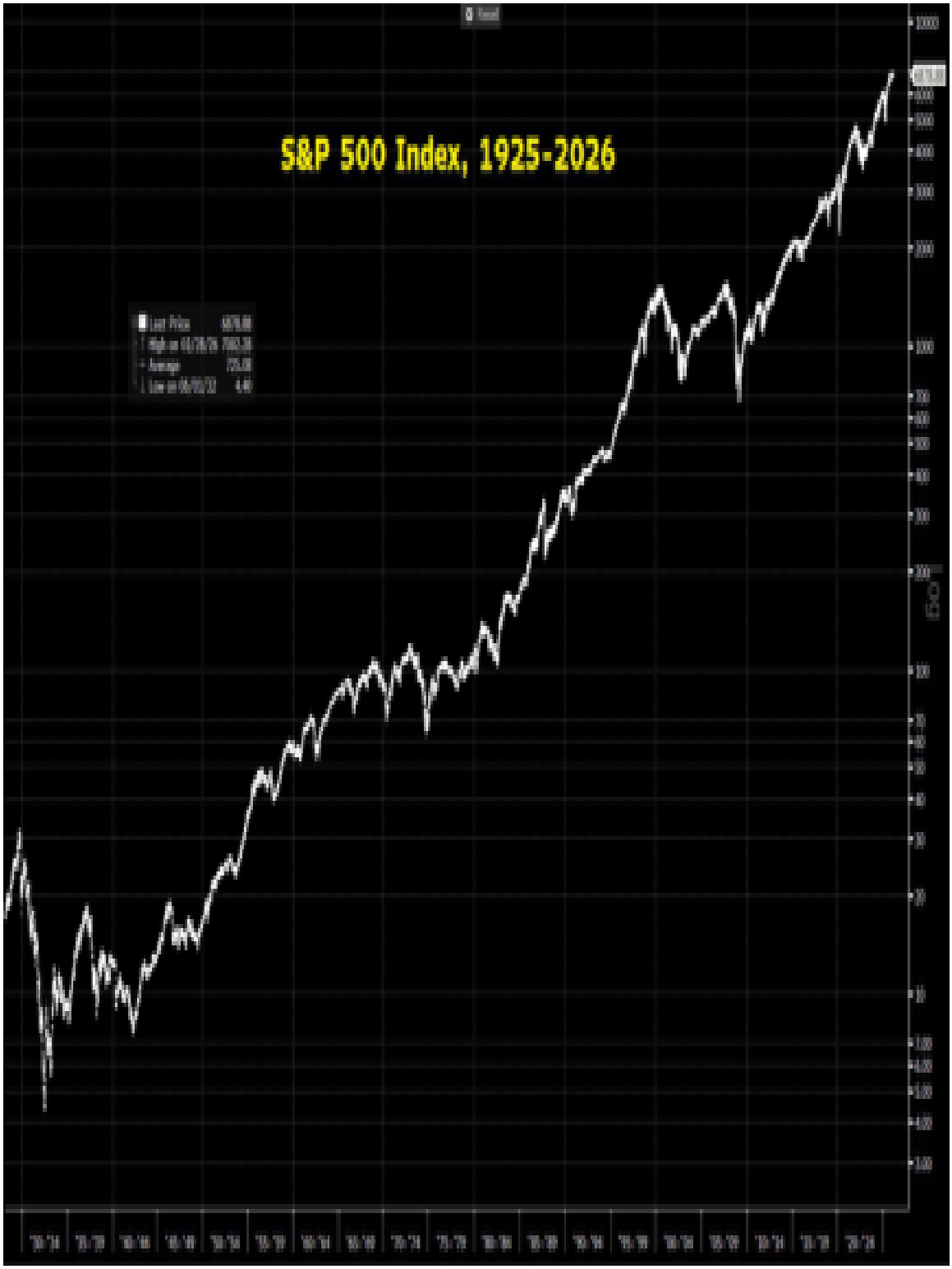


Chart or table illustrating fiscal and labor■market modeling related to AI displacement and macroeconomic stress scenarios.

Figure 8

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Figure 9

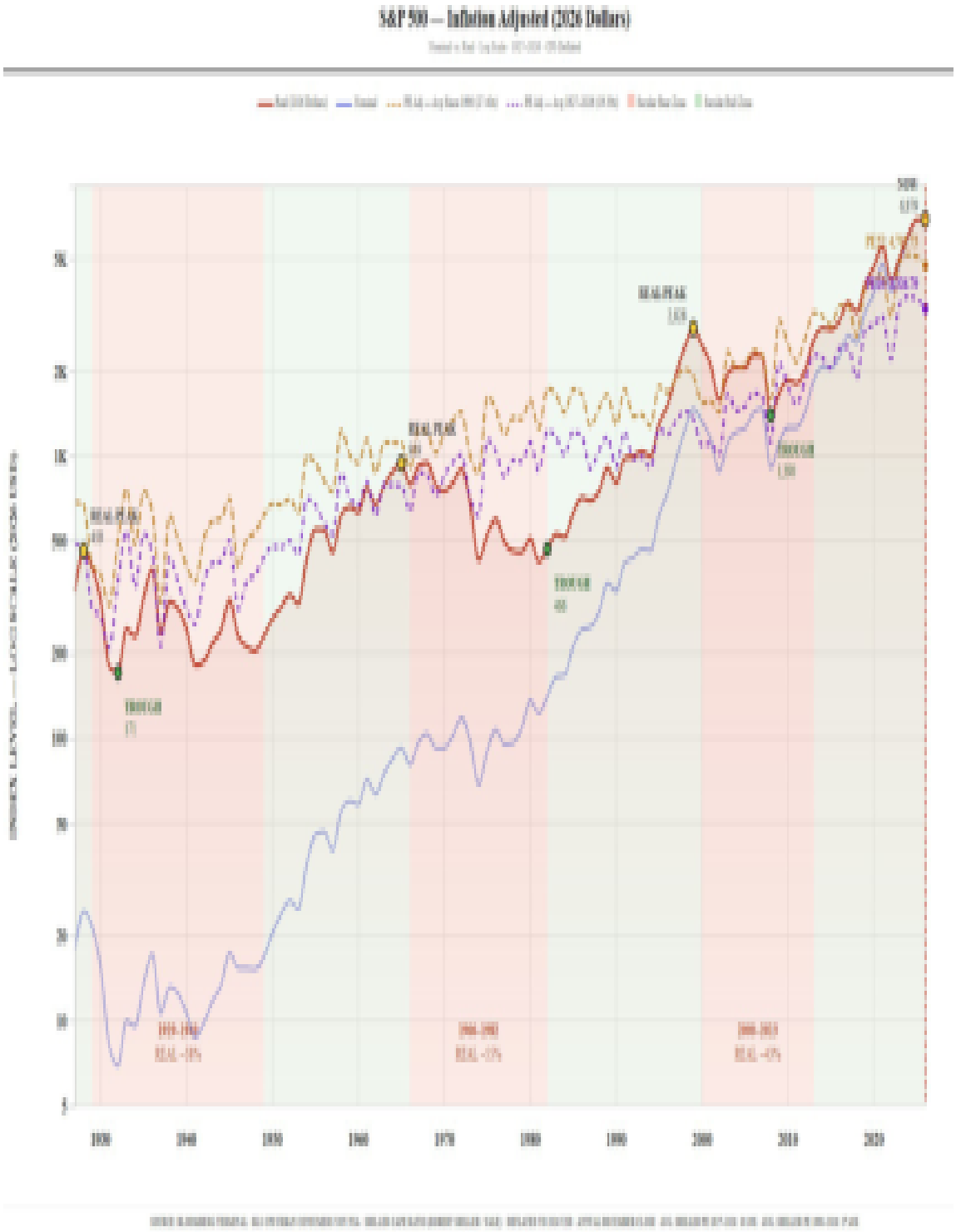

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Figure 10

10 Year, Treasury Yield, 1962-2026 fi)

Figure 11

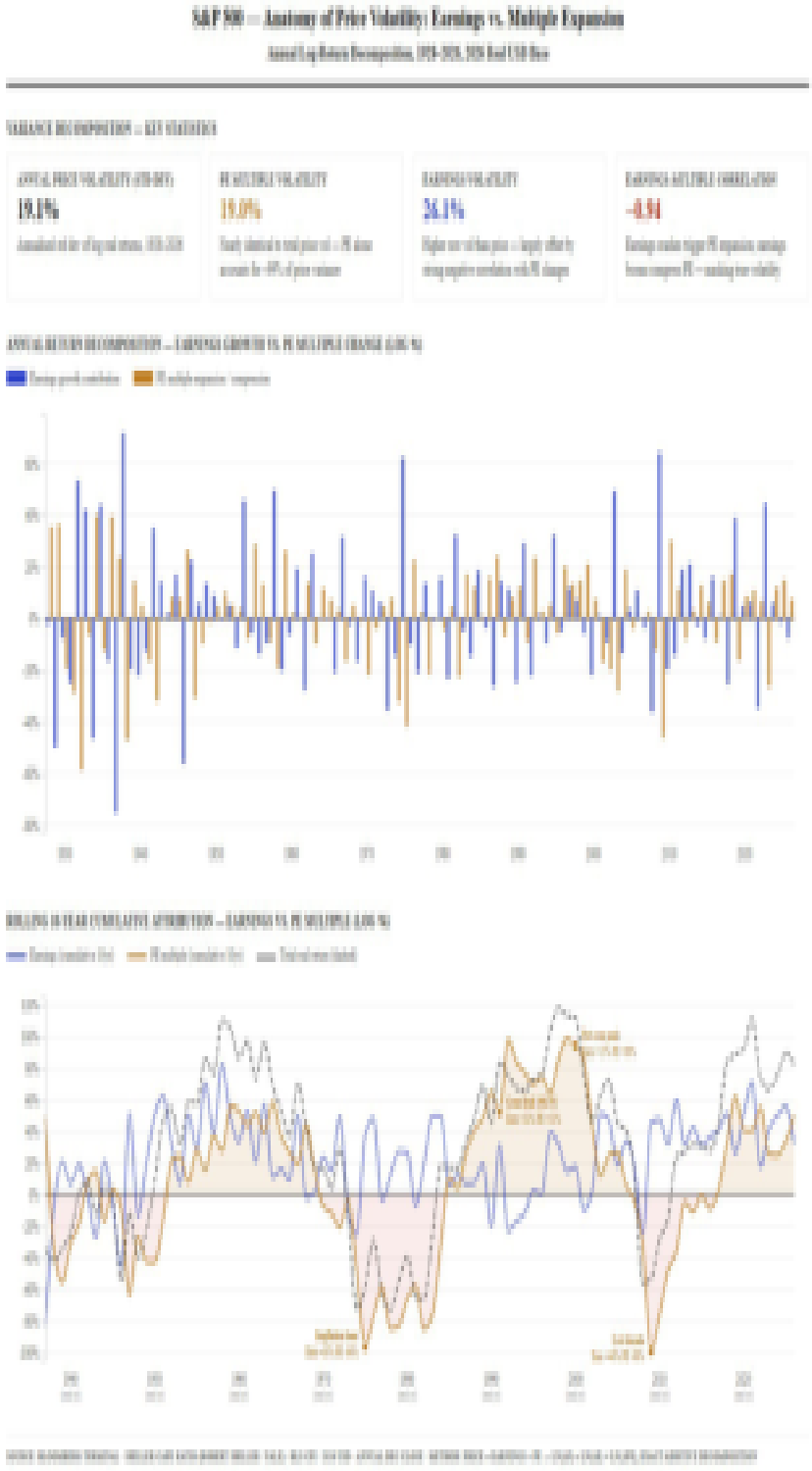


Chart or table illustrating fiscal and labor■market modeling related to AI displacement and macroeconomic stress scenarios.

Figure 12

Shiller CAPE — Mean Reversion Summary

All three PE thresholds · S&P 500 & DJIA · Completed cycles, avg duration & current streak vs. history

CROSS-THRESHOLD COMPARISON

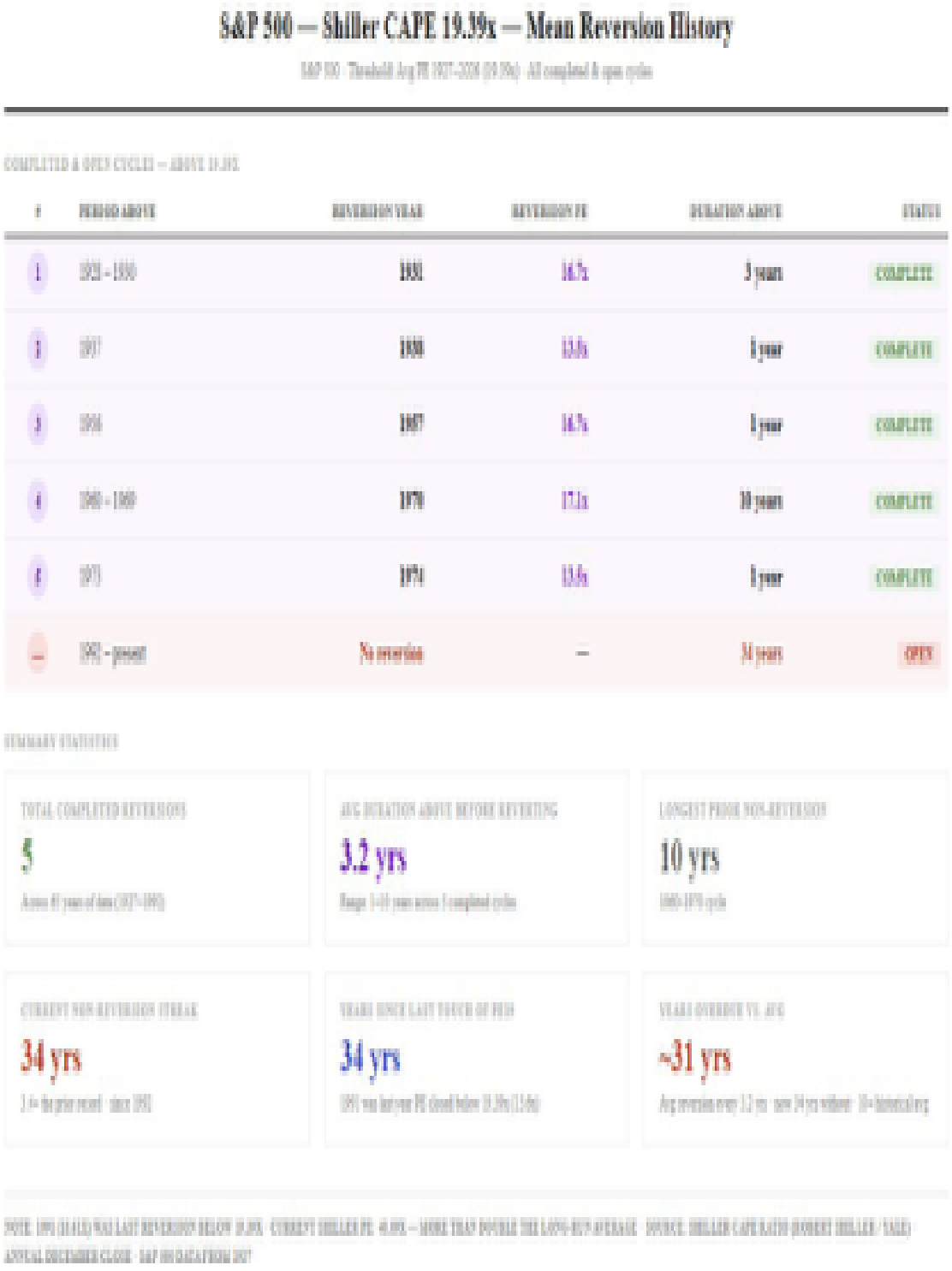
THRESHOLD & INDEX	DATA SINCE	COMPLETED REVERSIONS	AVG DURATION ABOVE	LONGEST PRIOR STREAK	CURRENT STREAK	YEARS SINCE LAST TOUCH	YRS OVERDUE VS. AVG
PE27 27.40x S&P 500 · Fair value: 4,702 (~12%)	1997	2	3.5 yrs	6 yrs	9+ yrs	9 yrs	-5-6 yrs
PE27 27.40x DJIA · Fair value: 33,475 (~12%)	1997	2	3.5 yrs	6 yrs	9+ yrs	9 yrs	-5-6 yrs
PE19 19.39x S&P 500 (1927–present)	1927	5	3.2 yrs	10 yrs	34 yrs	34 yrs	-31 yrs
PE18 18.02x DJIA (1900–present)	1900	7	3.1 yrs	10 yrs	34 yrs	34 yrs	-31 yrs

PE27 — 1996-PRESENT AVG: 27.40X · FIRST EXCEEDED 1997 · PE18/PE19 — FULL-HISTORY AVG · LAST REVERSION: 1991 (16.6X)

CURRENT SHILLER PE: 40.09X · MORE THAN DOUBLE THE PE18/PE19 LONG-RUN AVERAGE · SOURCE: SHILLER CAPE RATIO (ROBERT SHILLER / YALE) · ANNUAL DECEMBER CLOSE · S&P 500 DATA FROM 1927 · DJIA DATA FROM 1900

Shiller CAPE — Mean Reversion Summary

Figure 13



SAP $00 — Shiller CAPE 19.39 — Mean Reversion History oyrs Sty

Figure 14

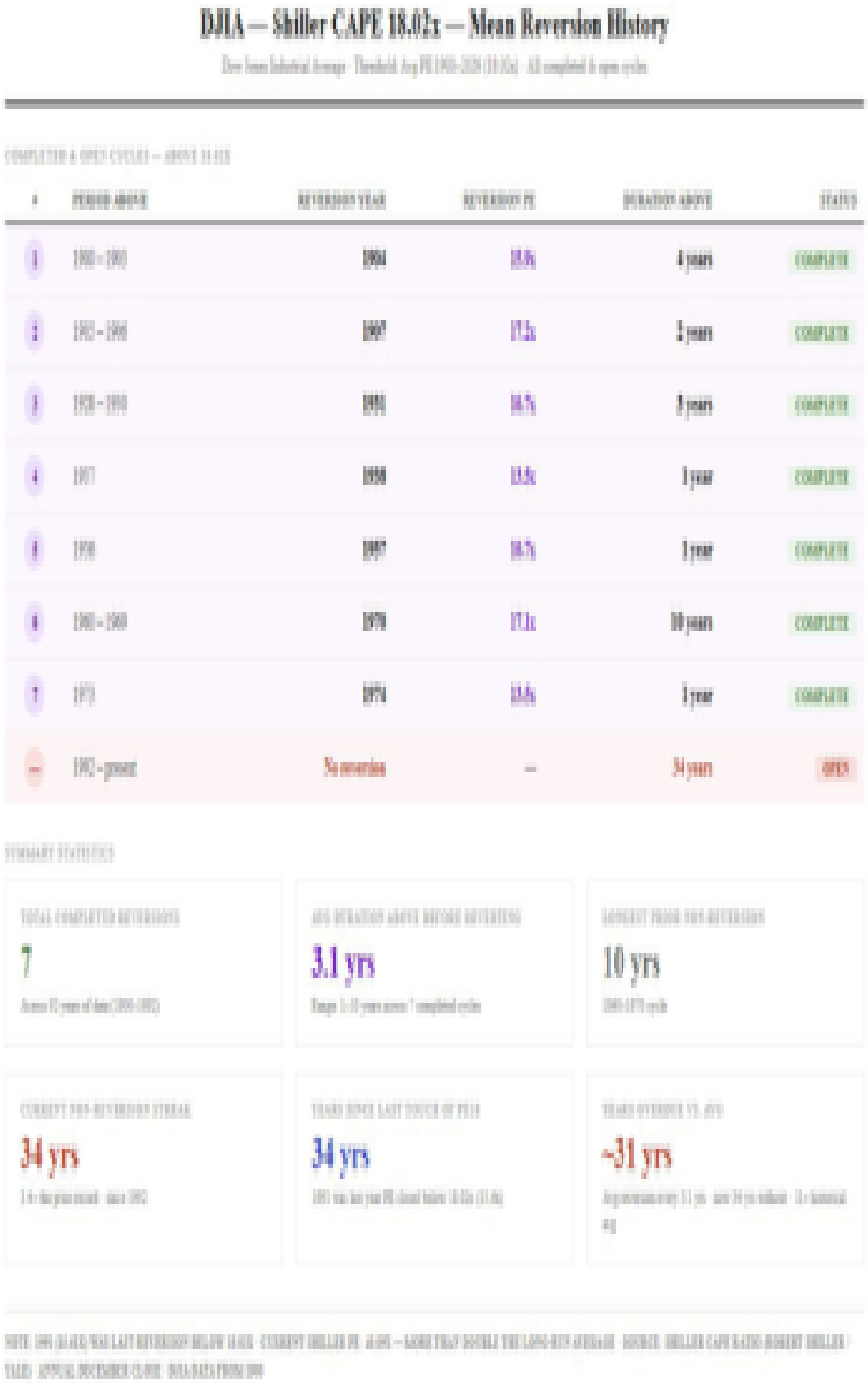


Chart or table illustrating fiscal and labor■market modeling related to AI displacement and macroeconomic stress scenarios.

Figure 15

DJIA — Shiller CAPE Downside Scenarios

Current Shiller PE: 40.09x · 2026 Dollars · Mean Reversion & Historical Trough Targets

Current Level: 48,978 · Avg PE since 1990: 27.40x · Avg PE 1900–2026: 18.02x

SCENARIO	TARGET PE	FAIR VALUE	POINT DROP	% DECLINE
MEAN REVERSION				
PE27 Avg since 1990	27.40x	33,478	−15,503	−32%
PE18 Avg 1900–2026	18.02x	22,015	−26,963	−55%
HISTORICAL TROUGH OVERSHOOT				
Post-1980 trough avg 2009: 15.17x only (policy-supported floor)	11.28x	13,782	−35,196	−72%
All-history trough avg 1921: 5.1x · 1932: 9.3x · 1982: 7.4x · 2009: 15.2x	9.25x	11,299	−37,679	−77%

PE27 — 1990–1026 AVG SHILLER CAPE: 27.40X · PE18 — FULL-HISTORY AVG SHILLER CAPE: 18.02X

POST-1980 TROUGH AVG PE: 11.28X (2009 ONLY) · ALL-HISTORY TROUGH AVG PE: 9.25X (4 CYCLES)

SOURCE: BLOOMBERG TERMINAL · SHILLER CAPE (ROBERT SHILLER / YALE) · BLS CPI · 2026 USD · ANNUAL DEC CLOSE · TROUGH PES: 1921 (5.12X), 1932 (9.31X), 1982 (7.39X), 2009 (15.17X)

DJIA — Shiller CAPE Downside Scenarios Come OM og Pe a dee Dae hss bg 308 ox massa re fe ee Errata See om na adi

Figure 16

S&P 500 — Shiller CAPE Downside Scenarios

Current Shiller PE: 40.09x · 2026 Dollars · Mean Reversion & Historical Trough Targets

Current Level: 6,879 · Avg PE since 1990: 27.40x · Avg PE 1927–2026: 19.39x

SCENARIO	TARGET PE	FAIR VALUE	POINT DROP	% DECLINE
MEAN REVERSION				
PE27 Avg since 1990	27.40x	4,702	−2,177	−32%
PE19 Avg 1927–2026	19.39x	3,327	−3,552	−52%
HISTORICAL TROUGH OVERSHOOT				
Post-1980 trough avg 2009: 15.17x only (policy-supported floor)	11.28x	1,935	−4,944	−72%
All-history trough avg 1921: 5.1x · 1932: 9.3x · 1982: 7.4x · 2009: 15.2x	9.25x	1,587	−5,292	−77%

PE27 — 1990–2026 AVG SHILLER CAPE: 27.40X · PE19 — FULL-HISTORY AVG SHILLER CAPE: 19.39X

POST-1980 TROUGH AVG PE: 11.28X (2009 ONLY) · ALL-HISTORY TROUGH AVG PE: 9.25X (4 CYCLES)

SOURCE: BLOOMBERG TERMINAL · SHILLER CAPE (ROBERT SHILLER / YALE) · BLS CPI · 2026 USD · ANNUAL DEC CLOSE · TROUGH PES: 1921 (5.12X), 1932 (9.31X), 1982 (7.39X), 2009 (15.17X)

‘S&P; 500 — Shiller CAPE Downside Scenarios (Gre Sie E40 Dan Man rm ial Tae Crete 65 fog FE one 90-24 gE VIE he sm Angie 150 pa ae 0 ew op io-208 939 as “28 Ee tien am aa os a om ase om

Figure 17

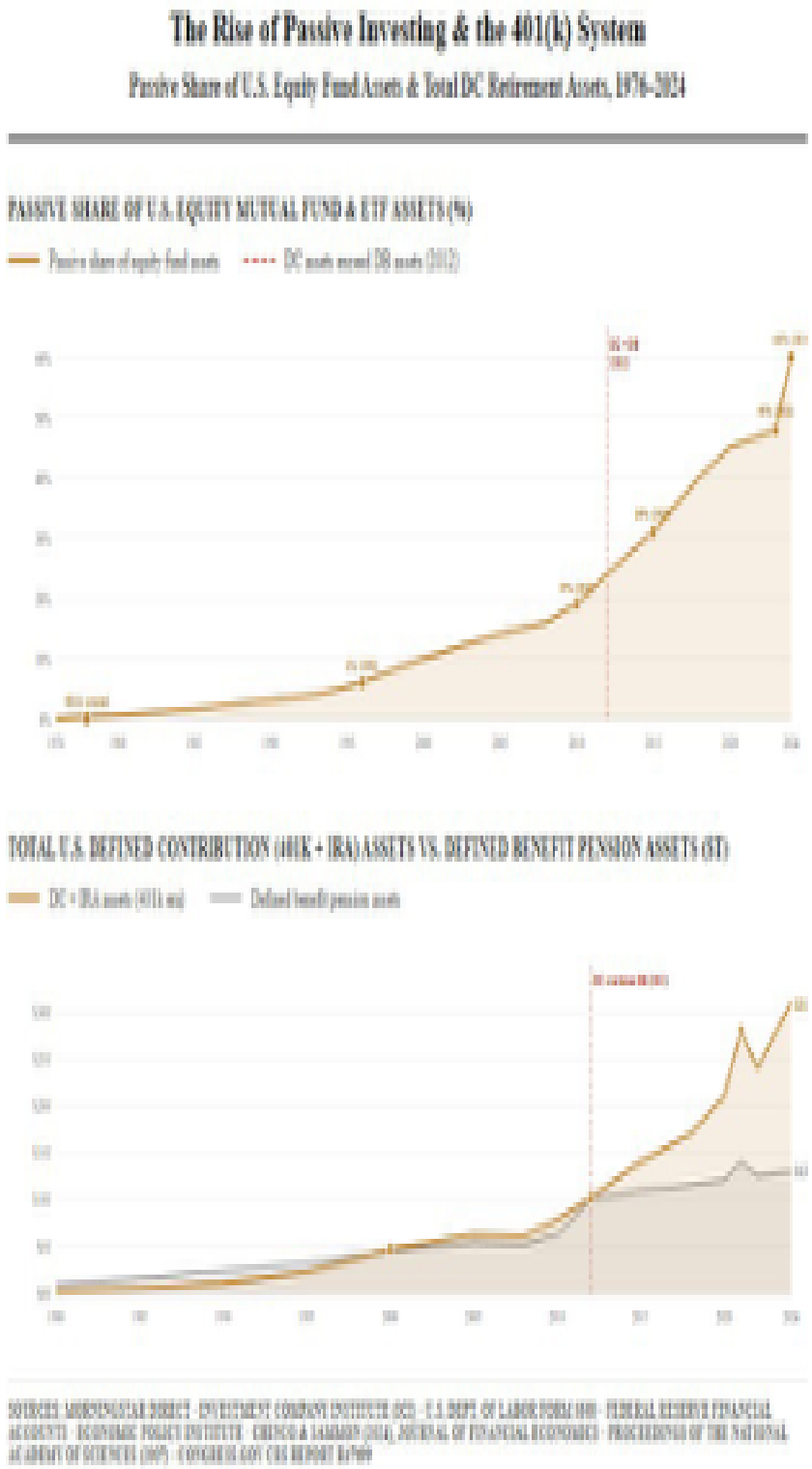


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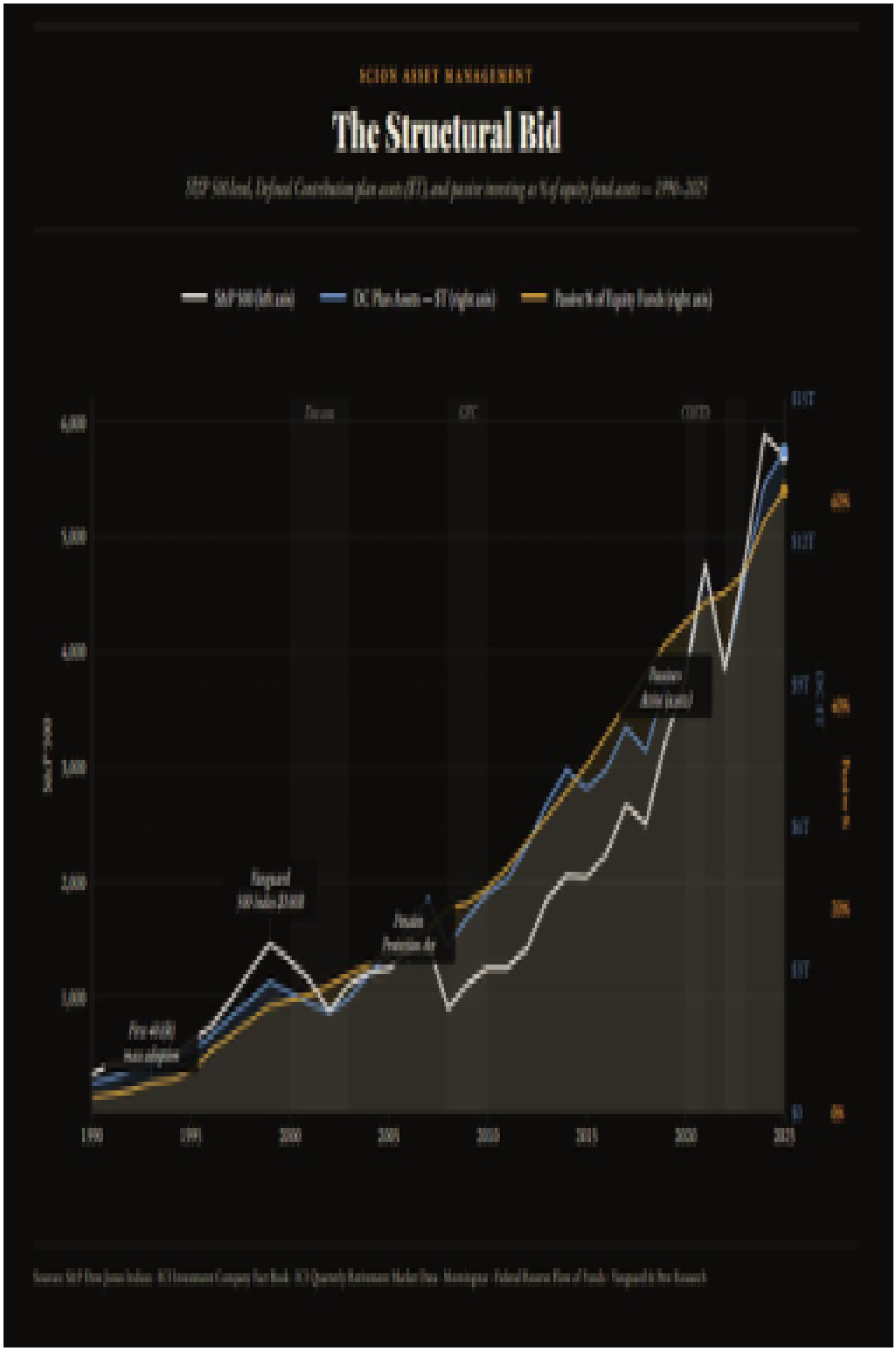
Figure 18



'The Structural Bid

Figure 19

SCION ASSET MANAGEMENT

The Shock Index

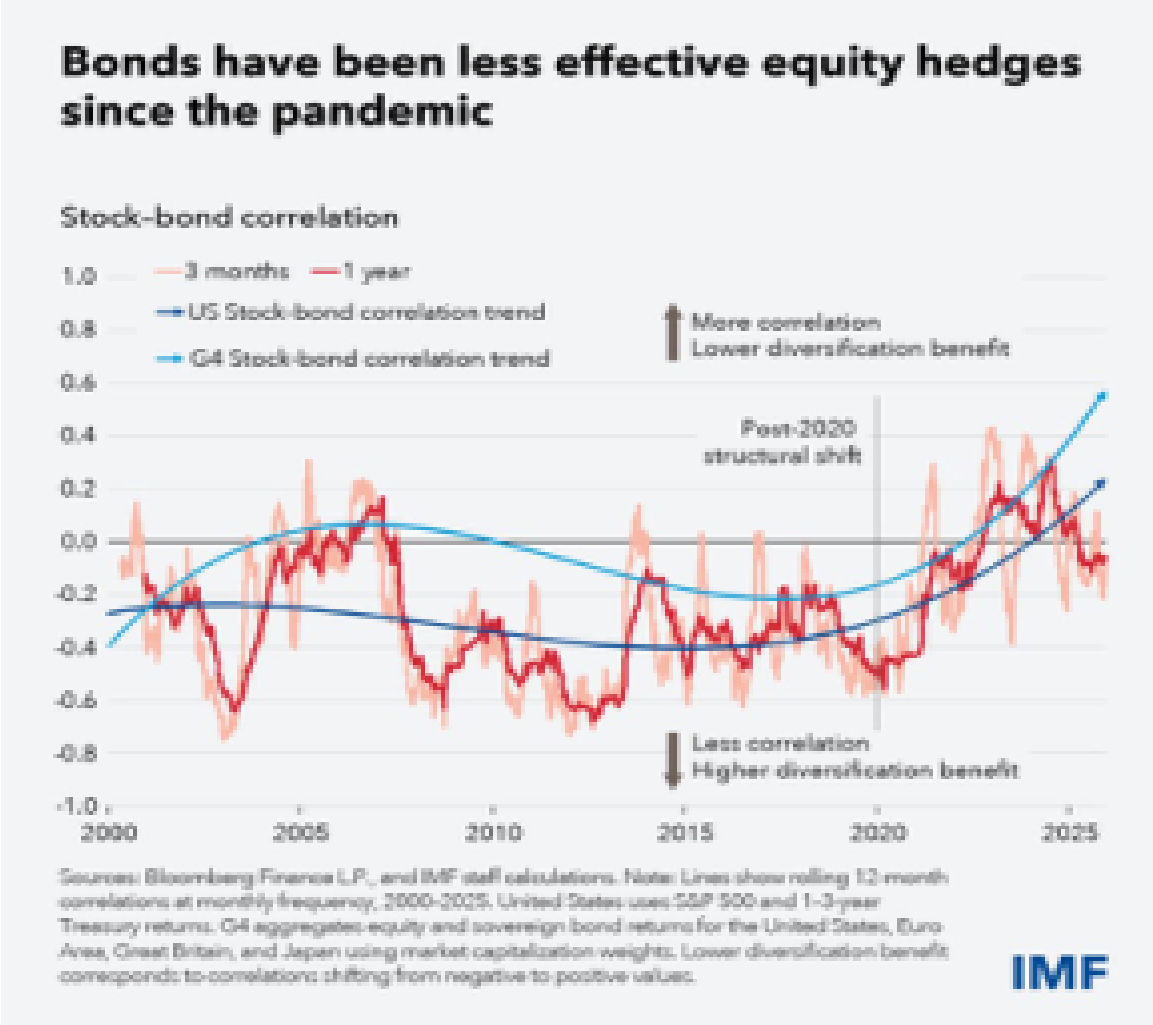
Acute market loss per capita vs. per owning household — all figures adjusted to 2025 dollars.

EVENT	LOSS PER CAPITA	REAL GDP / CAPITA	SHOCK INDEX (loss / GDP per capita)	OWNERSHIP RATE	LOSS PER OWNING HOUSEHOLD
1929 Crash *2-day acute loss*	~$3,200	~$12,500	25.6%	~16%	~$20,000
Black Monday *1987 · single day*	~$5,800	~$41,000	14.1%	~28%	~$20,700
COVID Crash *2020 · worst 2 days*	~$13,000	~$63,000	20.6%	~55%	~$23,600
Liberation Day *2025 · Apr 3–4*	~$19,300	~$89,500	21.6%	~62%	~$31,100

Sources: Shiller/Yale · Federal Reserve · BLS · BEA · Sherwood News · Reuters · Goldman Sachs · Gallup · Hoover Institution

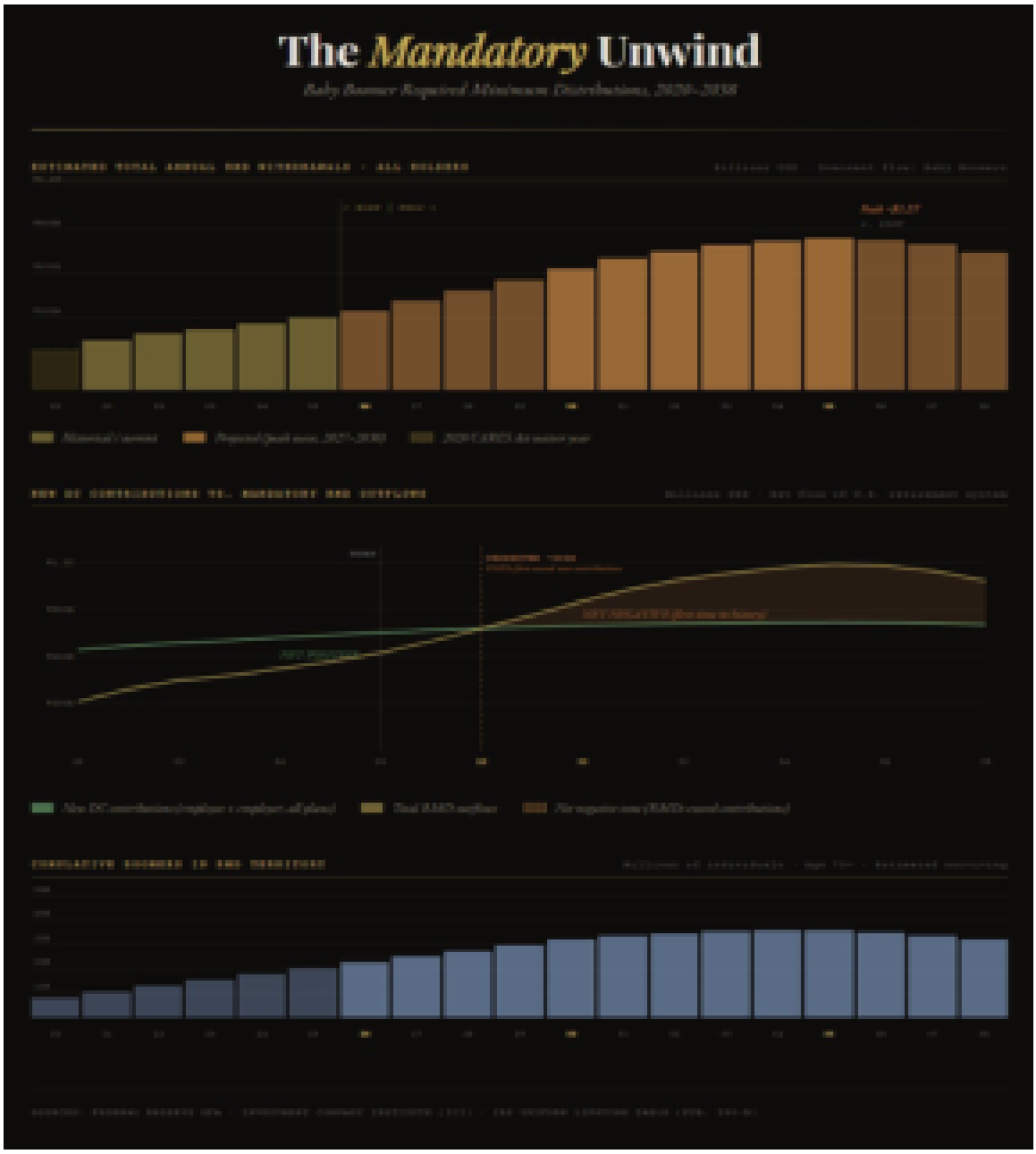
The Shock Index ack omy sno tusm __ utk 7 $20,000 ~$20700 $2400

Figure 20



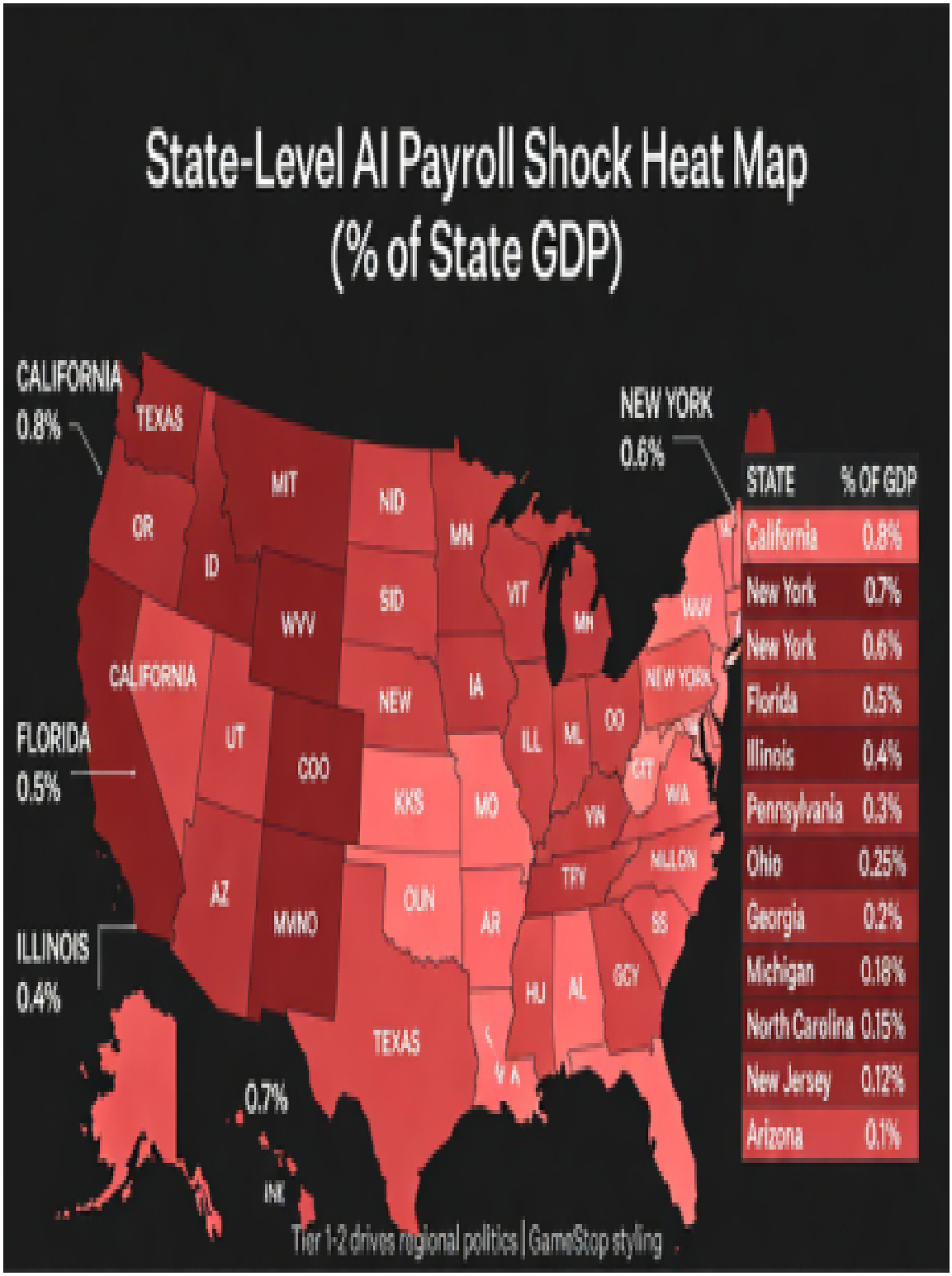
Bonds have been less effective equity hedges since the pandemic teeteeres é

Figure 21



‘The Mandatory Unwind

Figure 22



State-Level AI Payroll Shock Heat Map (% of State GDP) rao te ae om |Calforia, a Newtek Nee FLORA w ey 5% on = ‘a OMe tuunoss [— a a fern

Figure 23

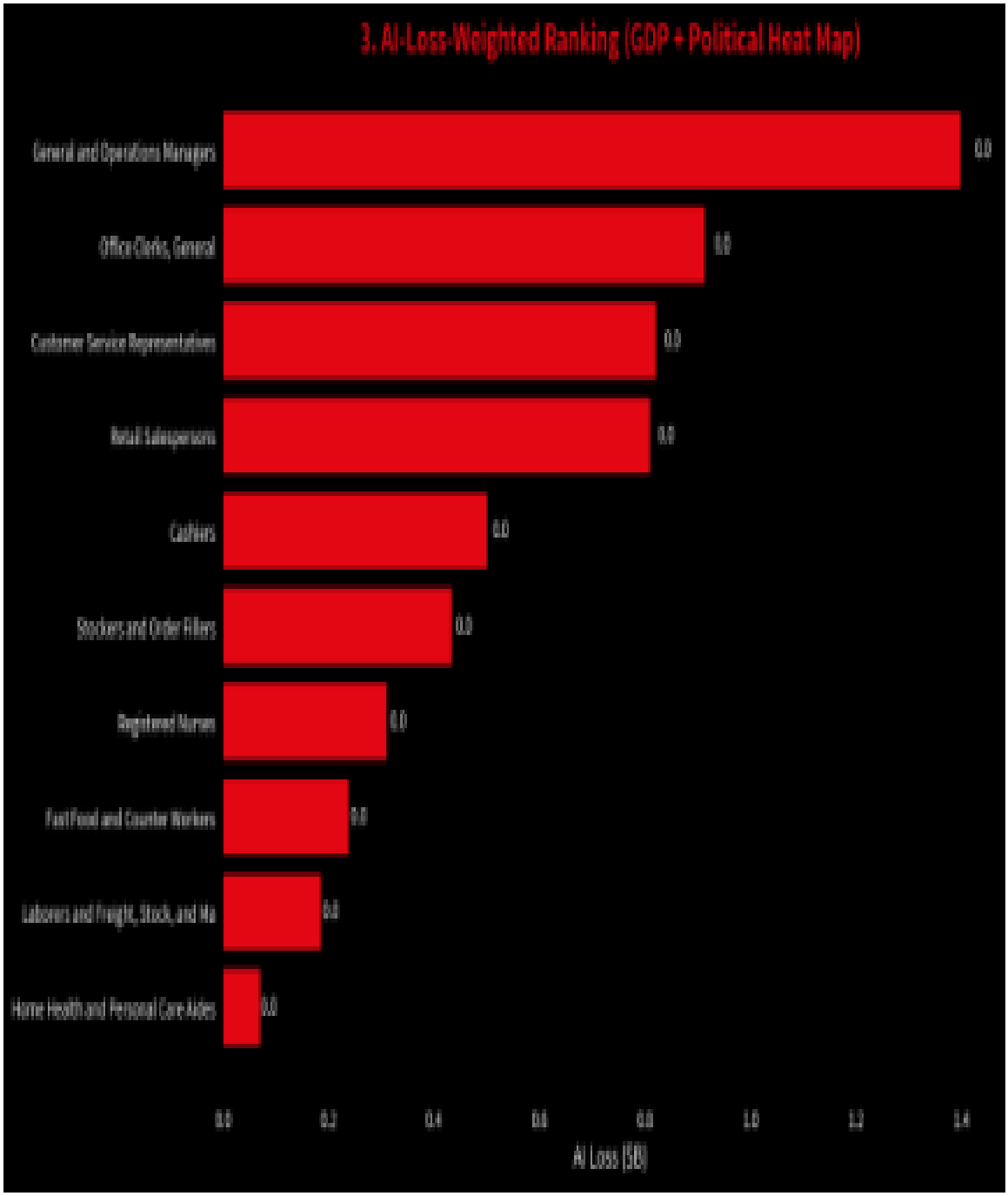
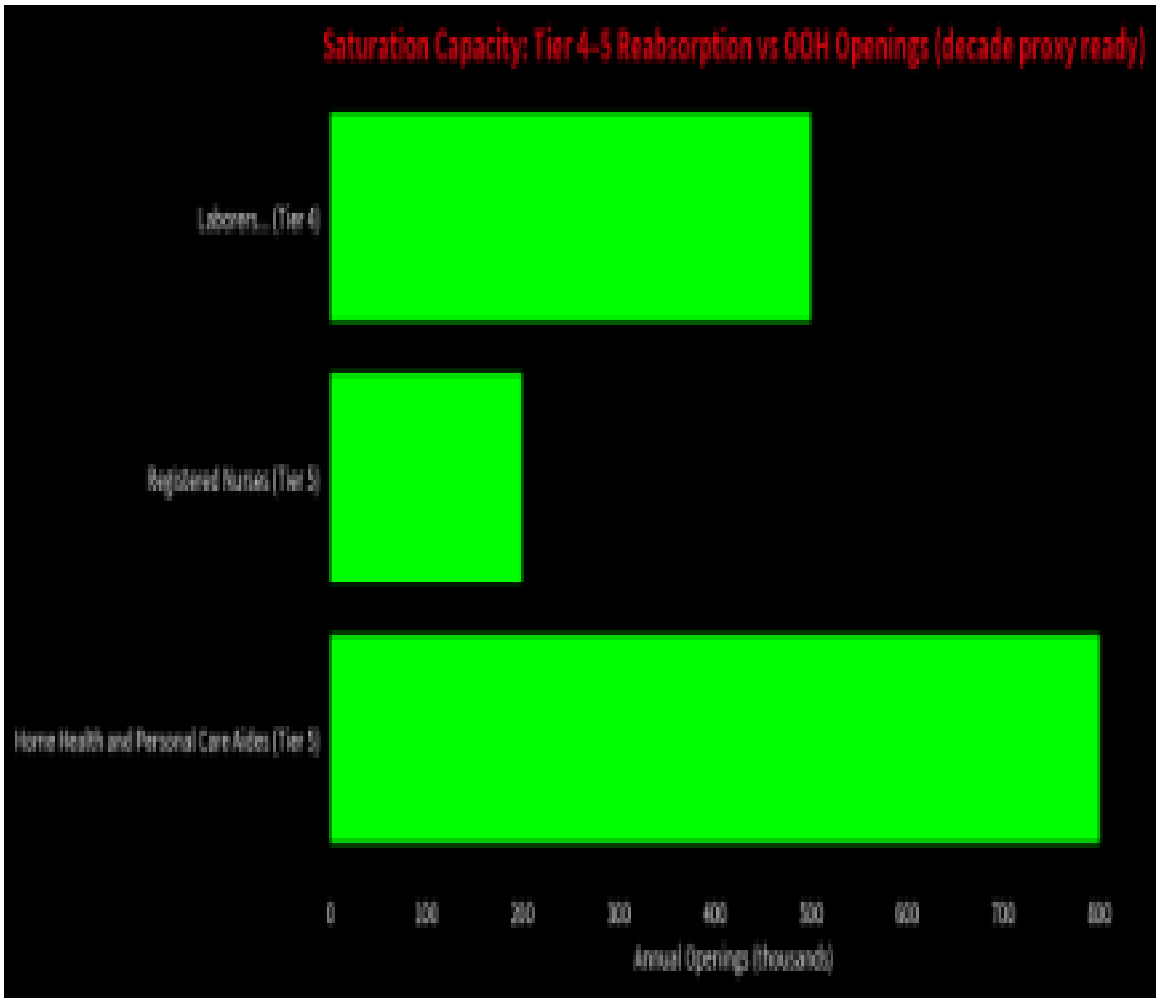


Chart or table illustrating fiscal and labor■market modeling related to AI displacement and macroeconomic stress scenarios.

Figure 24



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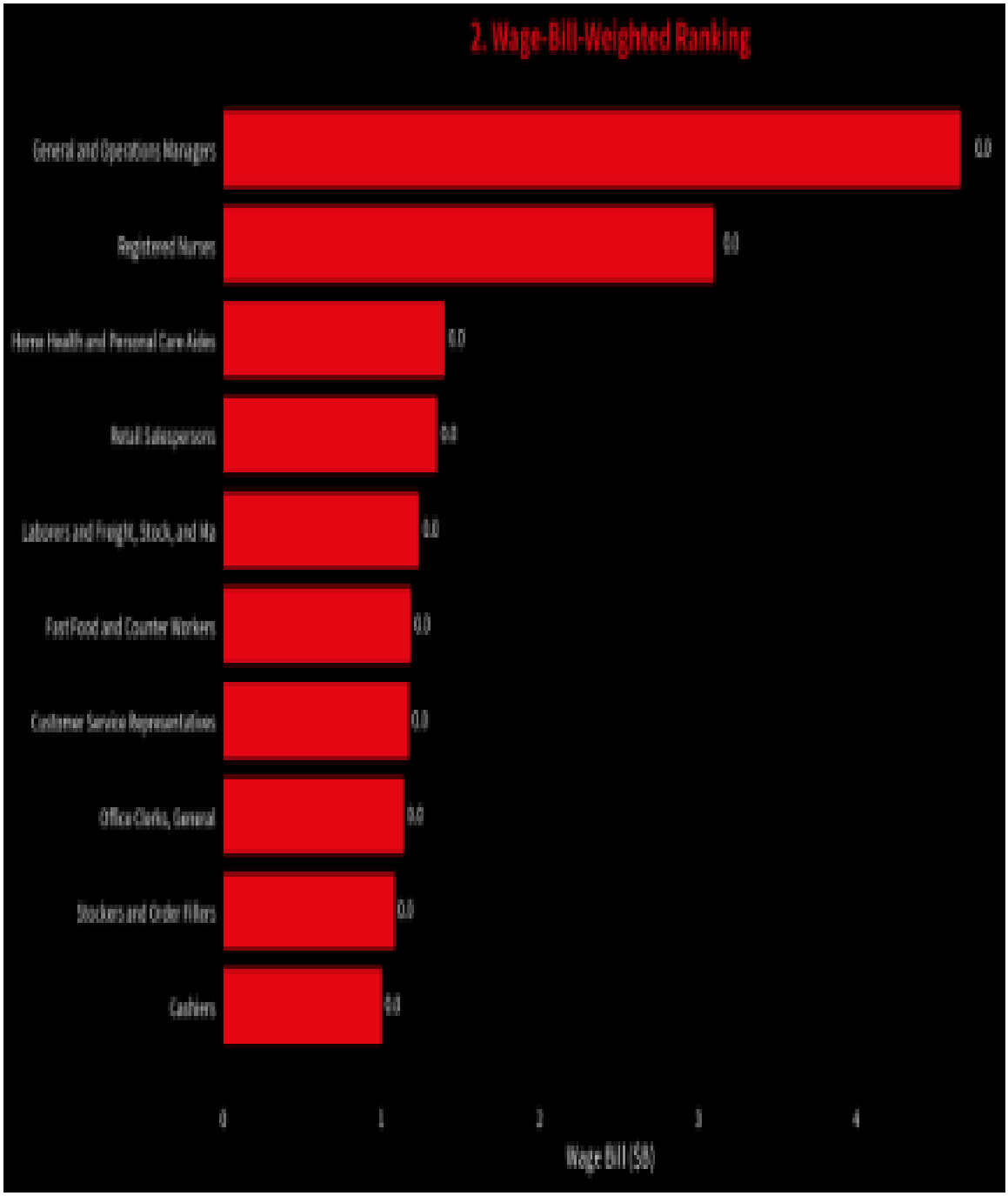

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Figure 26

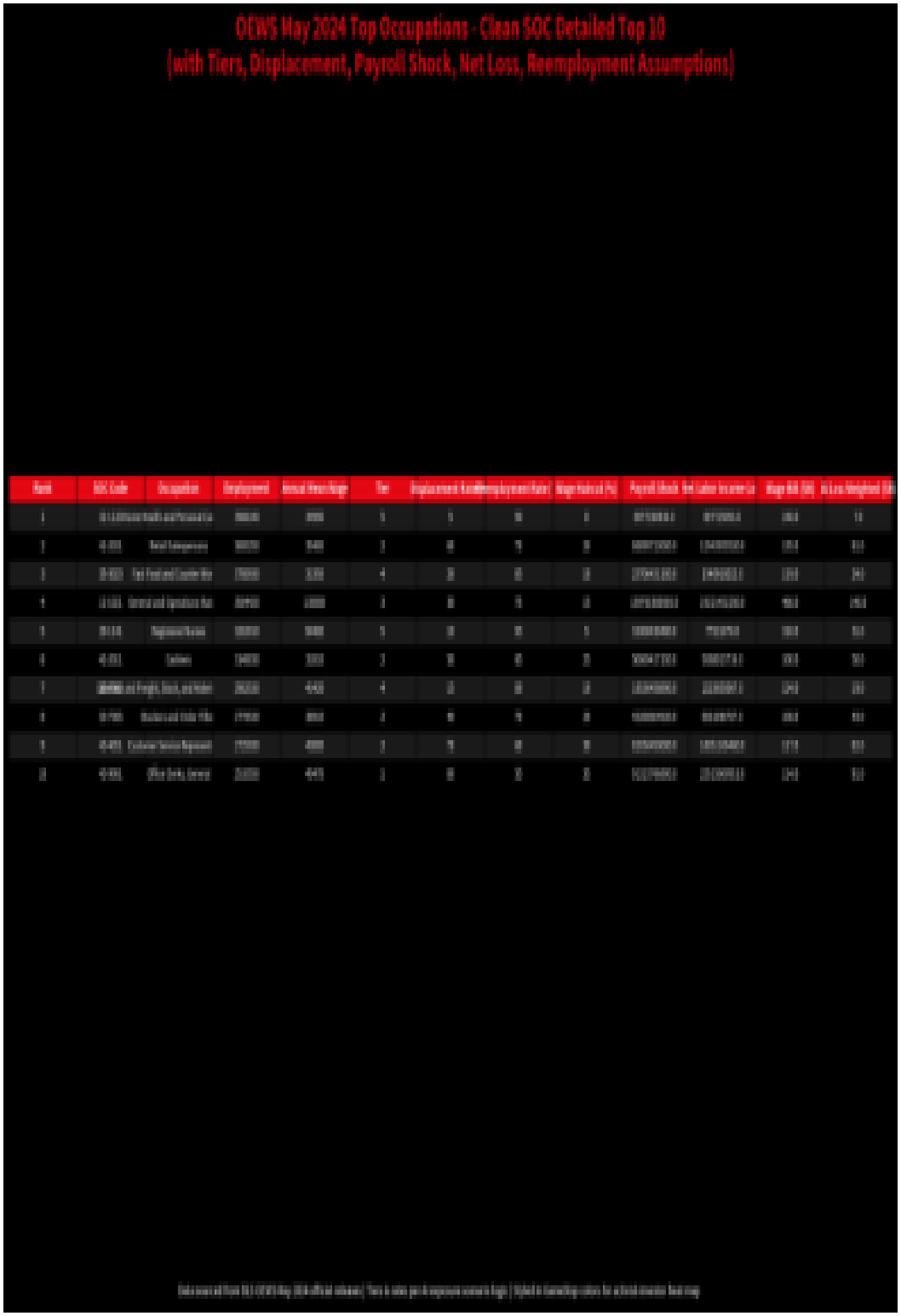

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Figure 27

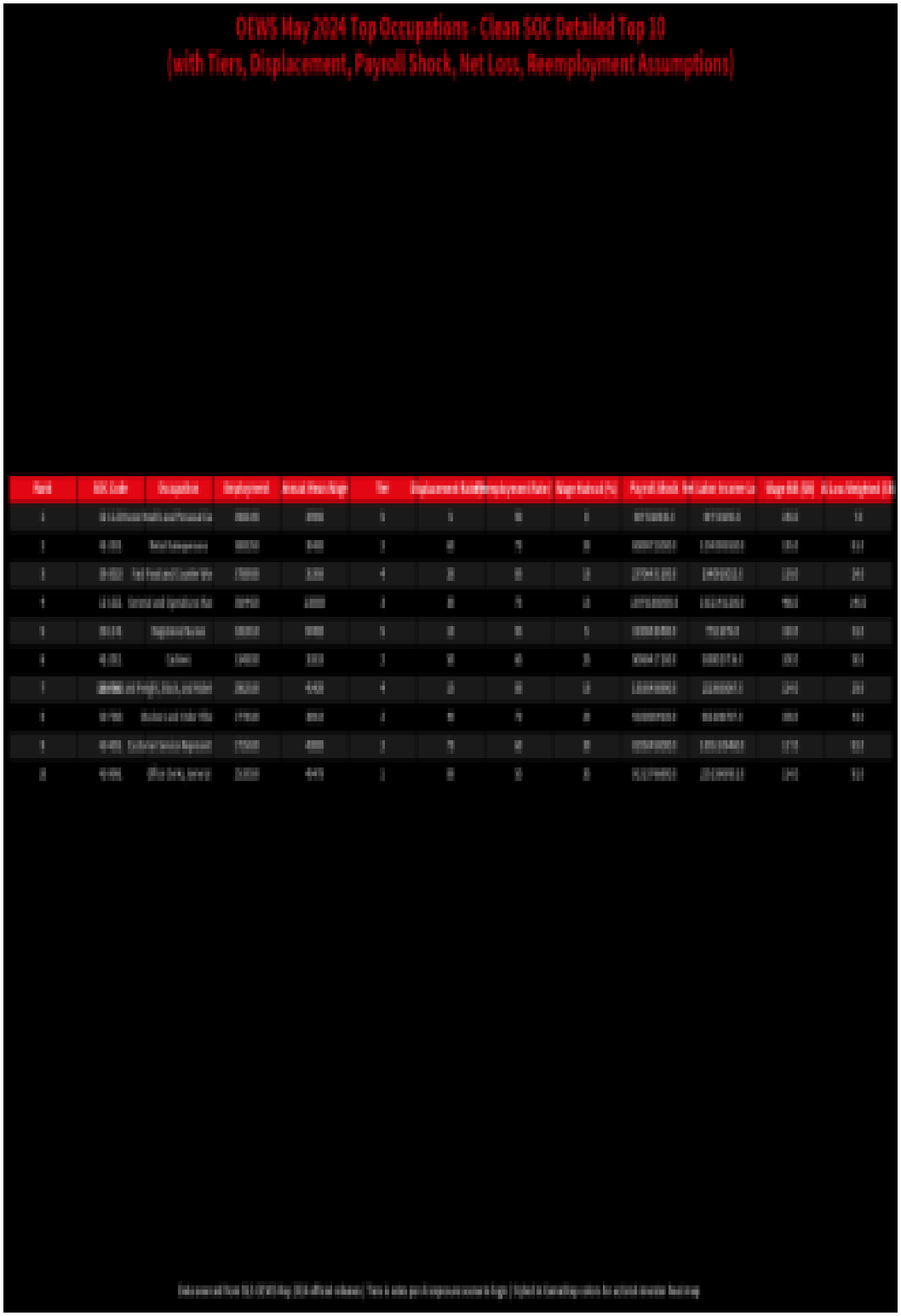

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Figure 28

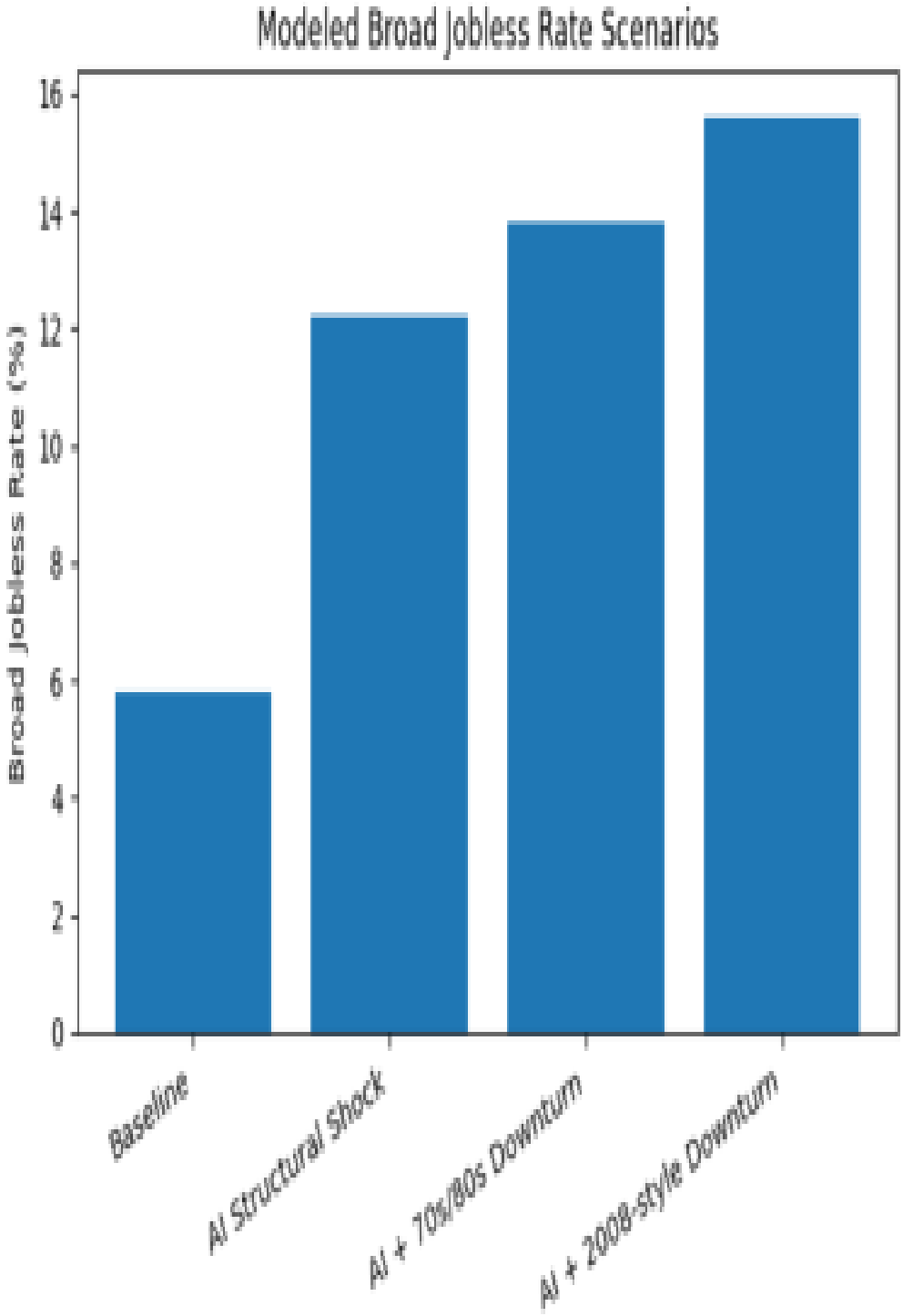
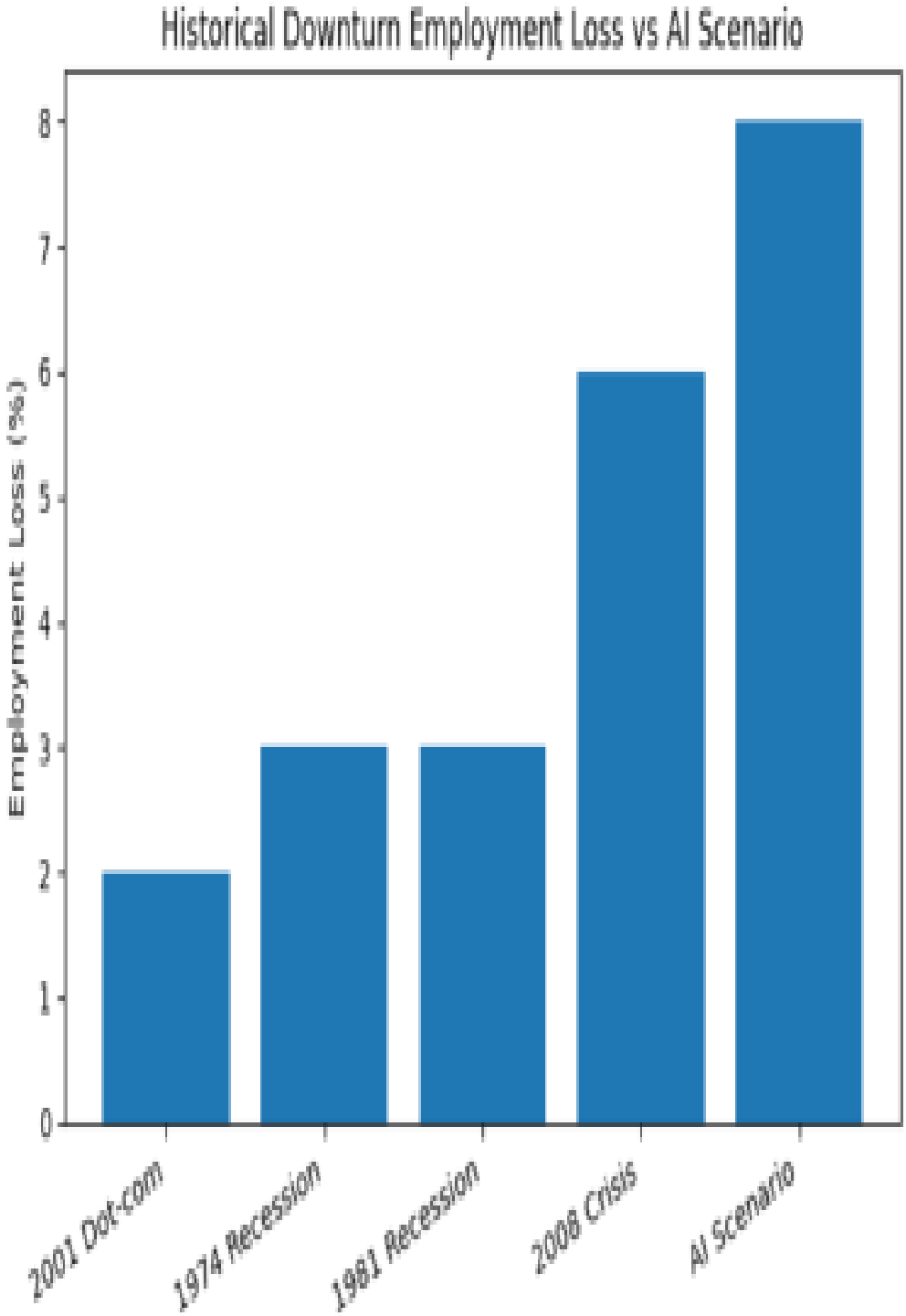
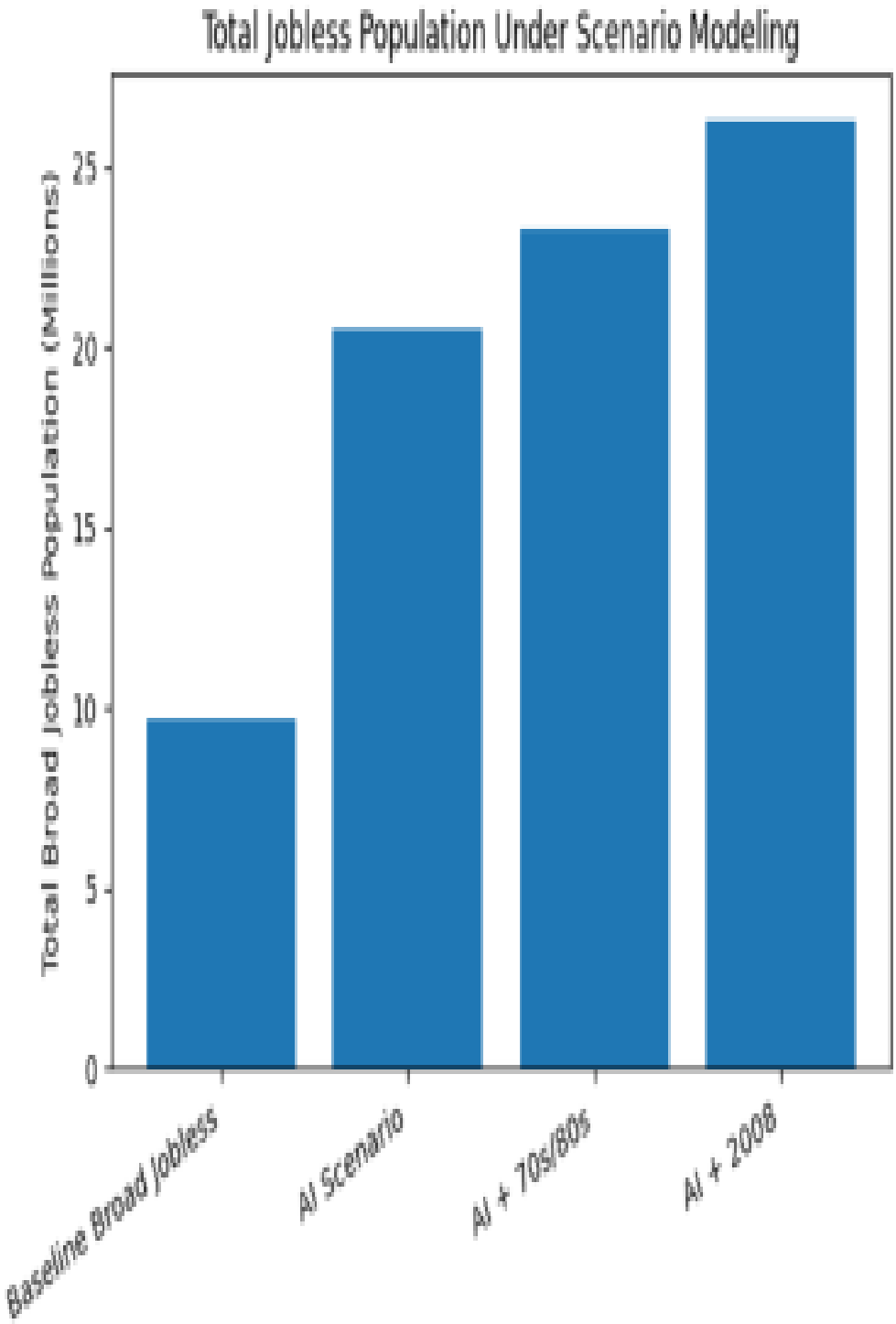

Modeled Broad Jobless Rate Scenarios
Broad Jobless Rate (%)
0
2
4
6
8
10
12
14
16
Baseline
AI Structural Shock
AI + 70s/80s Downturn
AI + 2008-style Downturn

Figure 29



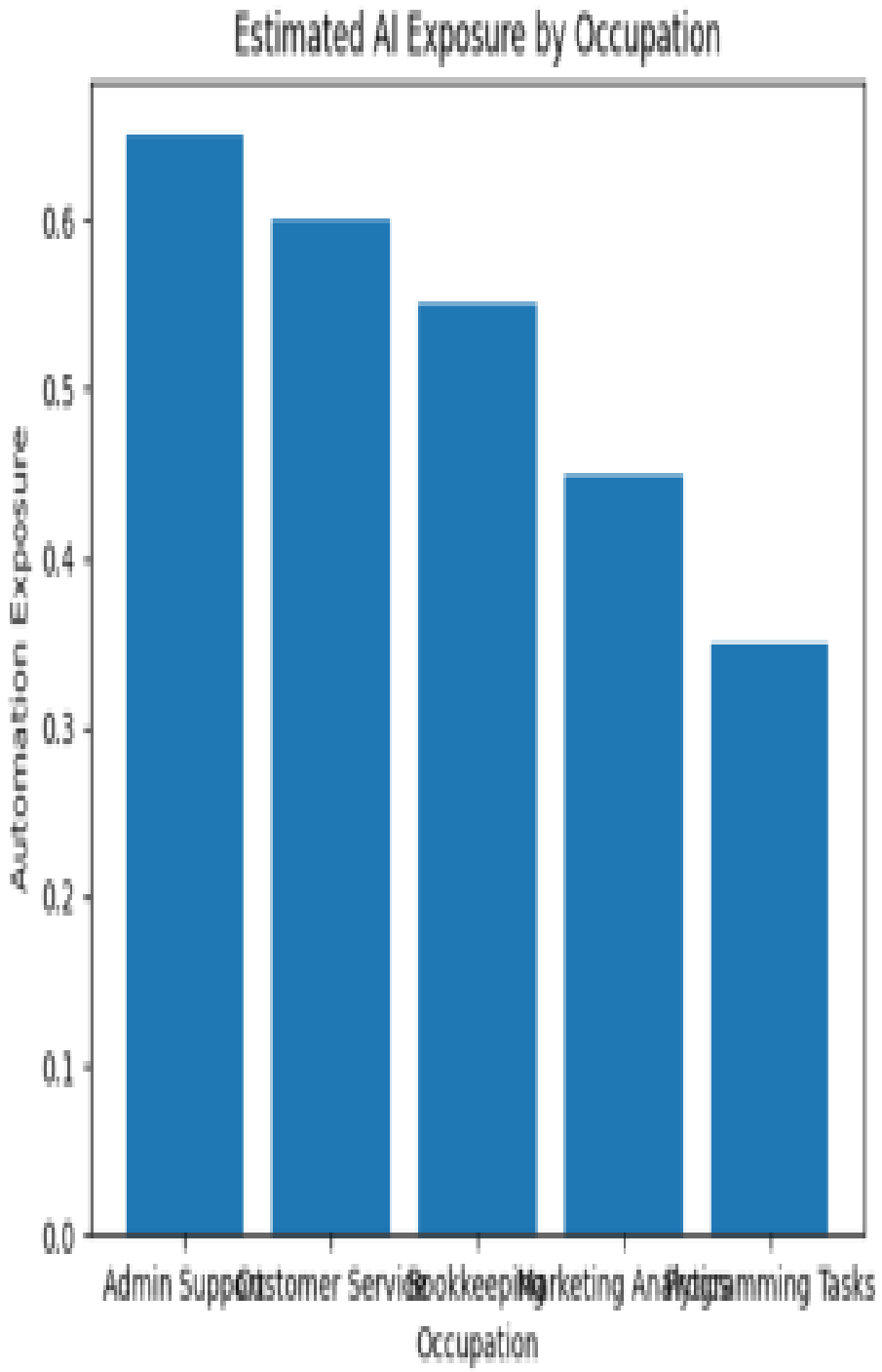
Historical Downturn Employment Loss vs AI Scenario Employment Loss)

Figure 30



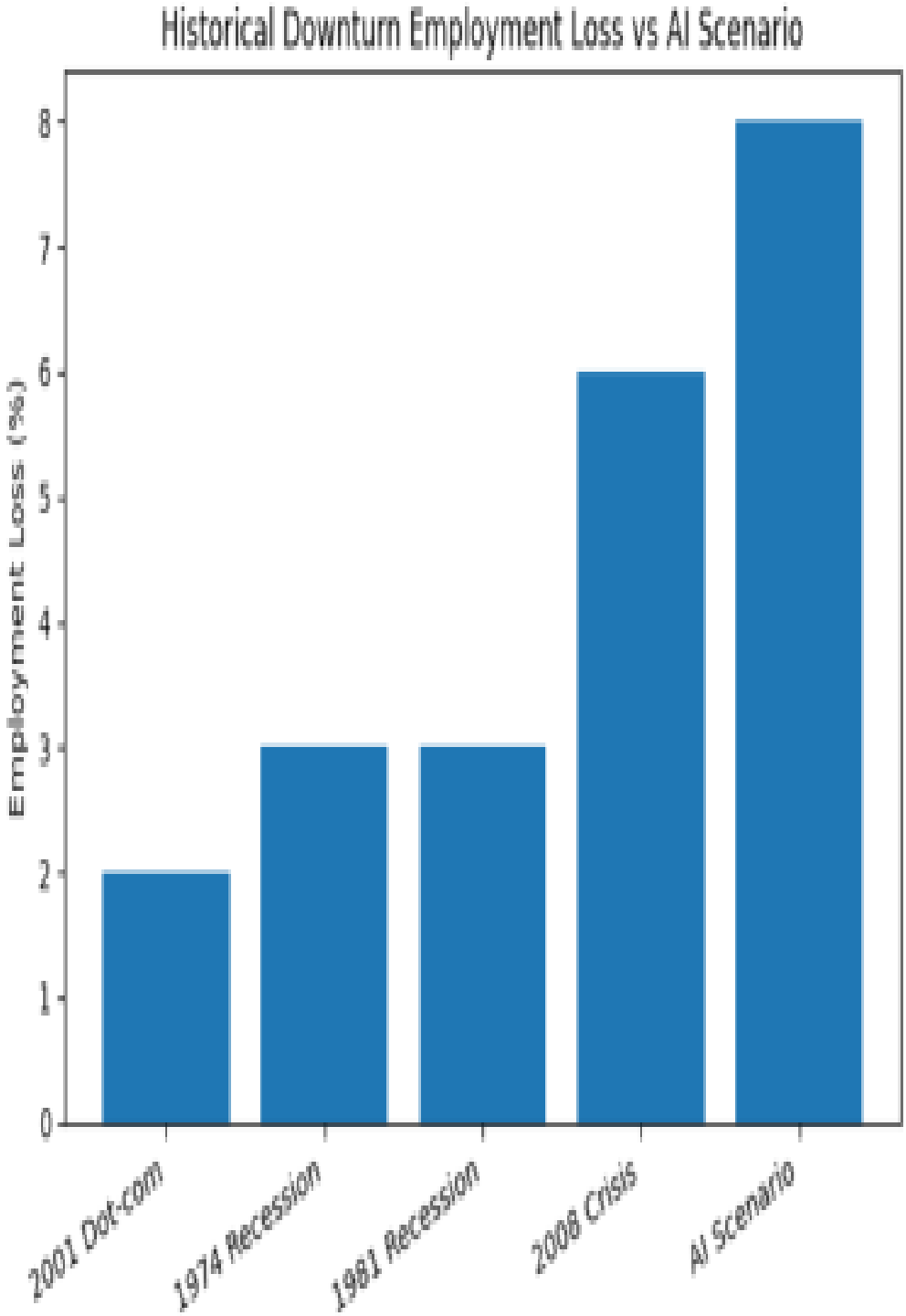
Total Jobless Population Under Scenario Modeling alll = ee

Figure 31



Estimated AI Exposure by Occupation “Admin Suppastomer Servigeokkeepttgrketing Anakagramming Tasks ‘Occupation

Figure 32



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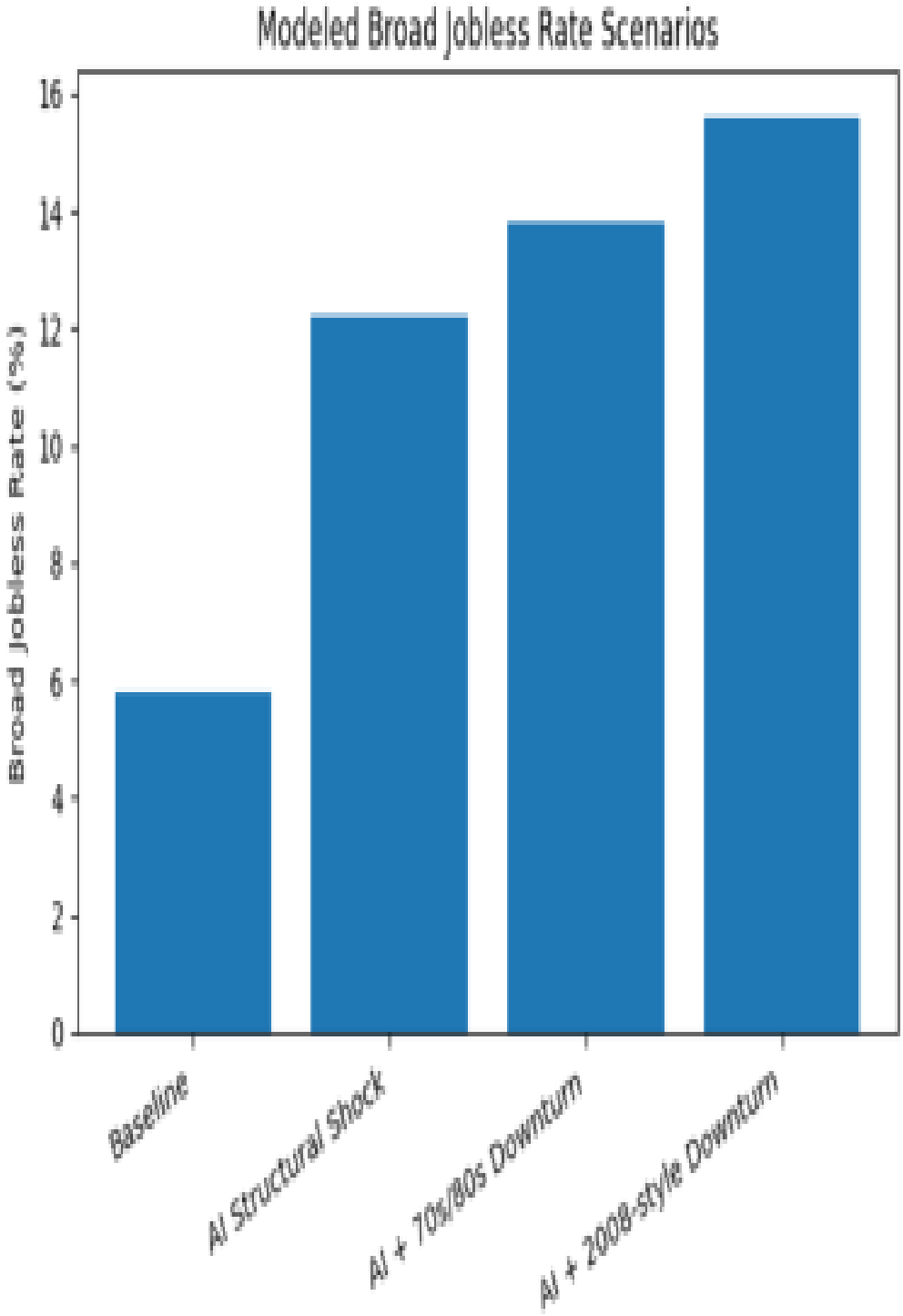
Modeled Broad Jobless Rate Scenarios
Broad Jobless Rate (%)
0
2
4
6
8
10
12
14
16
Baseline
AI Structural Shock
AI + 70s/80s Downturn
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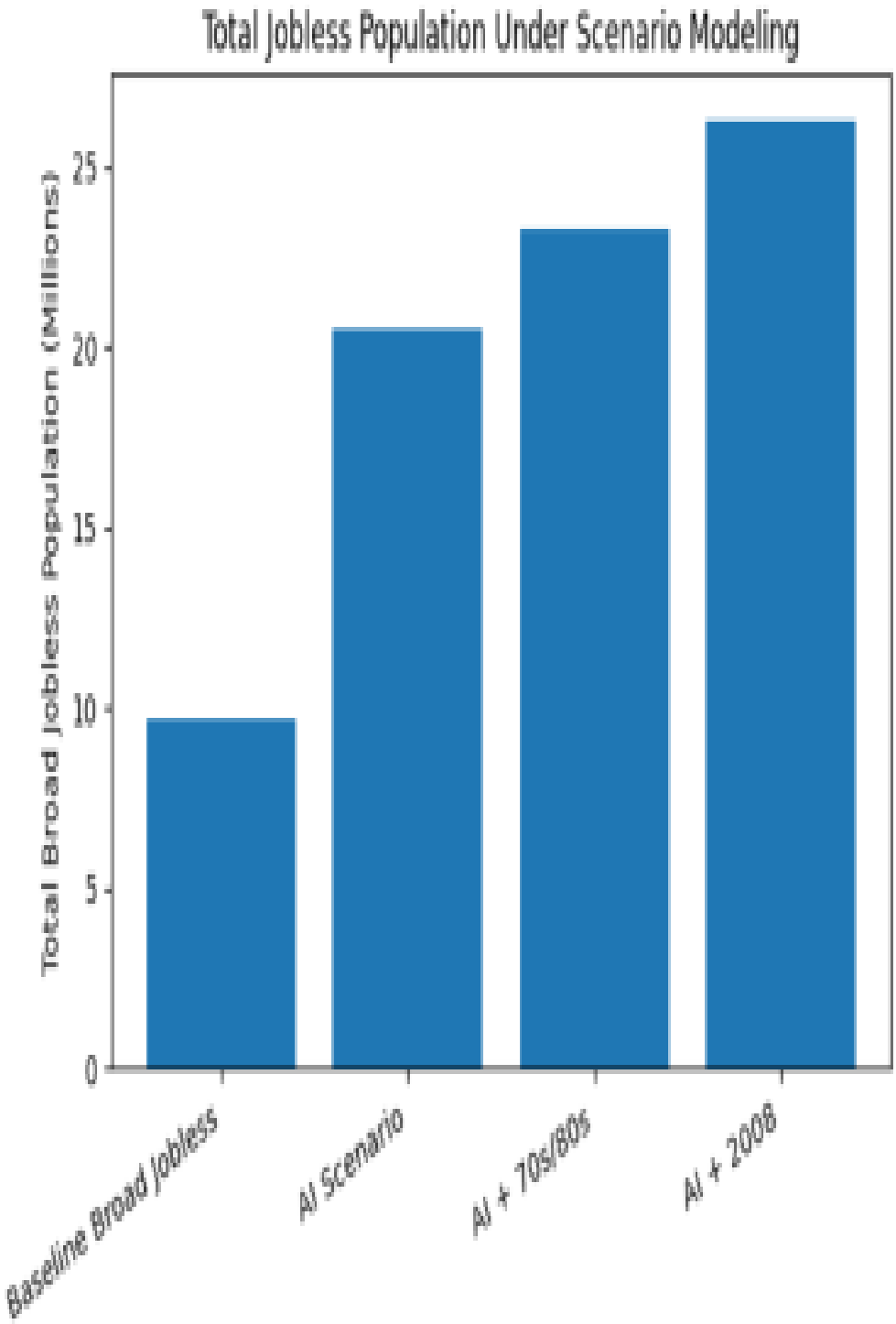
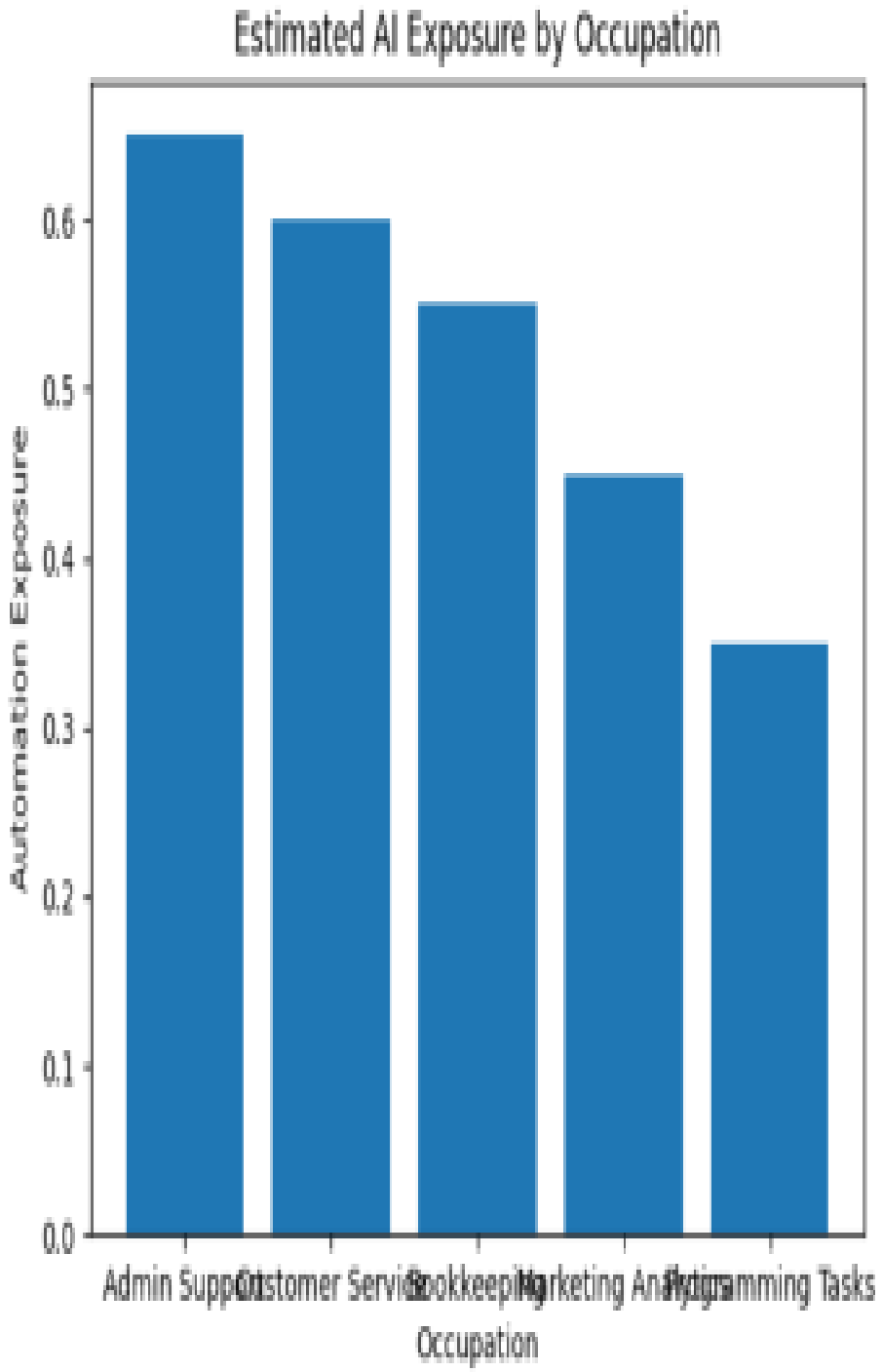


Total Jobless Population Under Scenario Modeling alll = ee

Figure 35



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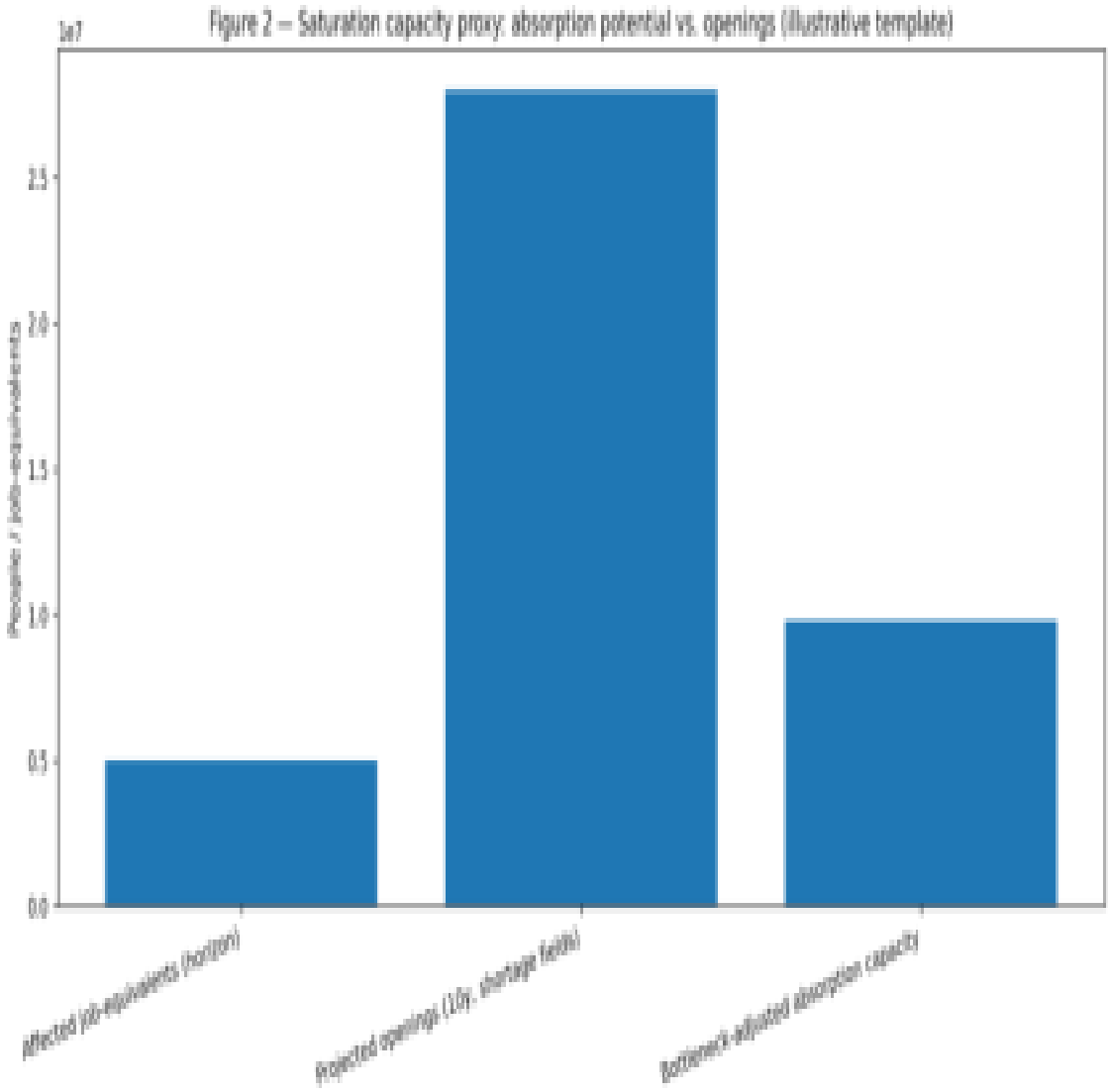
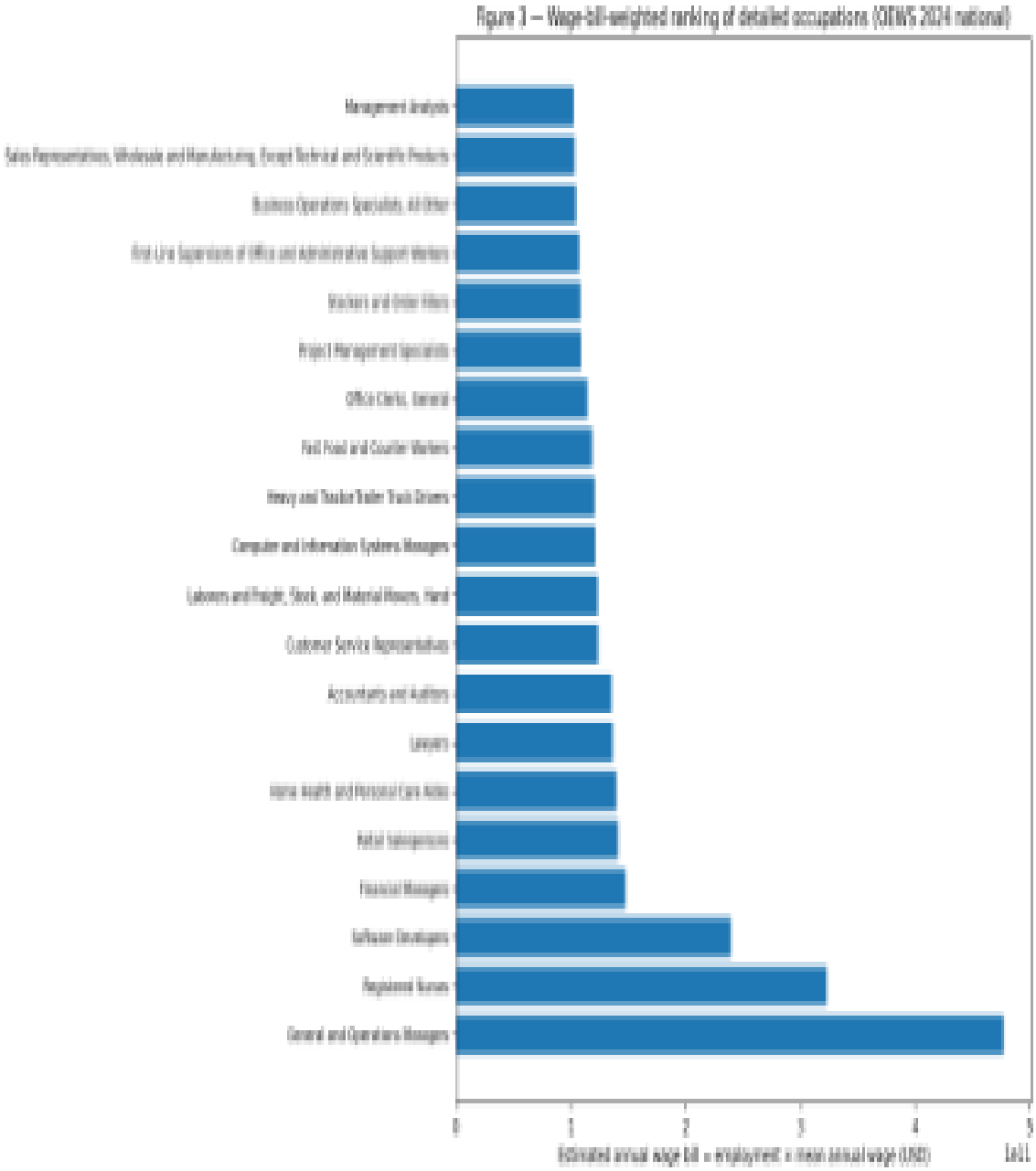


Chart or table illustrating fiscal and labor■market modeling related to AI displacement and macroeconomic stress scenarios.

Figure 37



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